

**SUPERIOR COURT, STATE OF CALIFORNIA
COUNTY OF SANTA CLARA**

Department 22, Honorable Beth McGowen Presiding

Farris Bryant, Courtroom Clerk
191 North First Street, San Jose, CA95113
Telephone: (408) 882-2340

To contest a tentative ruling, you must:

1. Call (408) 808-6856 before 4:00 P.M. and leave a voicemail message containing the information described below, and
2. Notify the other side before 4:00 P.M. that you will appear at the hearing to contest the tentative ruling.

In the voicemail message, please state your case name, case number, the name of the attorney, who you represent (Plaintiff or specific defendant) and contact number. It would also be helpful if you could identify the specific portion or portions of the tentative ruling that will be contested.

PLEASE NOTE:

- If you do not notify the Court and/or opposing side as required by California Rule of Court, rule 3.1308(a)(1) and Civil Local Rule 8(E), the Court will not hear argument and the tentative ruling will be adopted even if all parties appear at the hearing.
- Sending an email to the department or to the Complex Clerk will no longer suffice to constitute notice to the Court of the need for a hearing regarding a tentative ruling.

Court Reporters are not provided. Please consult our Court's website, www.sccourt.org, for the rules, policies, and required forms for appointment by stipulation of privately-retained court reporters.

- **Parties can appear either in person or remotely.** All remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely.
- As a reminder, state and local Court Rules prohibit recording of court proceedings without a Court order. This prohibition applies while in the courtroom and while appearing remotely.

DATE: August 20, 2026 TIME: 1:30 P.M.

**PREVAILING PARTY SHALL PREPARE THE ORDER
UNLESS OTHERWISE STATED (SEE [RULE OF COURT 3.1312](#))**

LINE #	CASE #	CASE TITLE	RULING
LINE 1	21CV386681	Sedano v. Jalimex Food Corporation, et al. (Class Action / PAGA)	Motion: Preliminary Approval is GRANTED Click on line 1 for tentative ruling
LINE 2	22CV401360	Orellana, et al. v. Prompt Food Service, Inc. (Class Action)	Motion: Withdraw as attorney is GRANTED Click on line 2 for tentative ruling
LINE 3	22CV403853	Orellana, et al. v. Prompt Food Service, Inc. (PAGA)	Motion: Withdraw as attorney is GRANTED
LINE 4	22CV403853	Orellana, et al. v. Prompt Food Service, Inc. (PAGA)	Hearing: Motion For Settlement Approval is GRANTED Click on lines 3-4 for tentative ruling
LINE 5	25CV468773	Z. G. vs Google LLC	Hearing: Demurrer is OVERRULED Click on lines 5-6 for tentative ruling
LINE 6	25CV468773	Z. G. vs Google LLC	Hearing: Pro Hac Vice Counsel is GRANTED
LINE 7	25CV479934	VERONICA SILVA v. REYES COCA-COLA BOTTLING, L.L.C. (Class Action)	Motion: Compel Arbitration is GRANTED, Request for Stay is GRANTED Click on line 7 for tentative ruling
LINE 8	26CV485245	Tammy Read vs Timothy Cook et al	Motion: Seal Records is GRANTED
LINE 9	26CV485245	Tammy Read vs Timothy Cook et al	Motion: Seal Records is GRANTED Click on lines 8-9 for tentative ruling

LINE 10	24CV440175	Cruz v. Wellnessmart M.D. (Class Action / PAGA)	Hearing: Motion For Final Approval is GRANTED Click on line 10 for tentative ruling
LINE 11	24CV450946	Norma Barragan vs Quantum Financial Group, Inc. et al (Class Action)	Motion: Preliminary Approval is GRANTED Click on line 11 for tentative ruling
LINE 12	19CV346694	Moncada v. AJ's Restaurant & Bar, et al. (Class Action)	Hearing: Motion to Dismiss is GRANTED Click on line 12 for tentative ruling
LINE 13	23CV427840	Johnson v. Eureka Restaurant Group, LLC (PAGA)	Hearing: Petition for Coordination

Calendar Line 1

Case Name: *Sedano v. Jalimex Food Corporation, et al.*
Case No.: 21CV386681

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiff Luis Sedano alleges defendant Jalimex Food Corporation and Jalimex (collectively, “Defendants”) committed various wage and hour violations.

Before the Court is Plaintiff’s motion for preliminary approval of settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

I. BACKGROUND

According to the allegations of the operative first amended complaint (“FAC”), Plaintiff is a former employee of Defendants who was employed as a delivery driver and worked for Defendant in a non-exempt position in San Jose. (FAC, ¶ 7.) Defendants failed to: provide compliant meal and rest periods or compensation in lieu thereof; pay minimum and regular wages for all hours worked; pay all overtime wages; maintain accurate records; provide accurate itemized wage statements; and timely pay all wages during employment and upon separation of employment. (FAC, ¶¶ 4, 29-45.)

Plaintiff initiated this action on September 14, 2021, with the filing of the Complaint and on February 18, 2025, he filed the operative FAC, which asserts the following causes of action: (1) failure to provide meal periods; (2) failure to provide rest periods; (3) failure to pay minimum and regular wages; (4) failure to pay all overtime wages; (5) failure to provide accurate itemized wage statements; (6) failure to timely pay all wages due upon separation of employment; (7) violation of Business & Professions Code § 17200, *et seq.*; (8) wrongful termination in violation of public policy; (9) retaliation; and (10) PAGA penalties.¹

Plaintiff now seeks an order: preliminarily approving the class action and PAGA settlement agreement (the “Settlement”); conditionally certifying the class for settlement purposes; approving and directing distribution of the notice of class action settlement; appointing the class representative, class counsel, and the settlement administrator; and scheduling a final approval hearing.

II. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

A. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

¹ The eighth and ninth causes of action are asserted on an individual basis.

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba*, *supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba*, *supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar*, *supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

B. PAGA

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public"], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O'Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

III. SETTLEMENT PROCESS

On May 12, 2021, Plaintiff provided written notice to the Labor Workforce Development Agency (“LWDA”) and Defendants. On September 14, 2021, he initiated this action. The parties engaged in formal discovery and Plaintiff requested the production of the Class list. On April 4, 2023, the parties attended mediation with Hon. Joan M. Lewis (Ret.), but the parties did not reach a settlement. However, Defendants agreed to provide additional documents and time and pay records and the parties planned to schedule a second mediation in August 2024 once said documents were produced.

On February 18, 2025, Plaintiff filed the operative FAC. Subsequently, Defendants produced additional documents and records, as well as time and pay records from September 2017 through April 2025. On June 20, 2025, the parties participated in a second mediation with Hon. Peter Kirwan (Ret.) and the parties reached an agreement in principle. The parties continued their negotiations in the following months and on November 11, 2025, they executed a memorandum of understanding. On June 16, 2026, the parties executed the Class and PAGA Representative Action Long Form Settlement Agreement currently before the Court.

IV. SETTLEMENT PROVISIONS

The non-reversionary gross settlement amount is \$470,000. Attorneys’ fees of up to one-third of the gross settlement amount (\$156,66.68), litigation costs of up to \$23,000, and settlement administration costs of up to \$7,990. \$15,000 will be allocated to PAGA penalties, 75% (\$11,250) will be paid to the LWDA, with the remaining 25% (\$3,750) will be dispensed to “Aggrieved Employees” who are defined as, “all current and former non-exempt employees who performed work for Defendants in the State of California at any time during the PAGA Period [January 15, 2020 to February 26, 2026].” Plaintiff will seek a service award of \$7,500.

The net settlement amount—approximately \$259,843.32—will be allocated to “Class Members” who are defined as “all current and former non-exempt employees who performed work for Defendants in the State of California at any time during the Class Period [March 20, 2017 to February 26, 2026].” For tax purposes, 15% of individual class payments will be allocated to wages and 85% will be allocated to interests and penalties and are not subject to wage withholdings. Funds associated with checks uncashed after 180 days will be transmitted to Legal Aid at Work.

In exchange for settlement, Class Members who do not opt out will release:

[A]ny and all claims alleged or which could have been alleged based on the factual allegations alleged in the Operative First Amended Complaint, arising during the Class Period, including but not limited to claims for Defendants’ alleged failure to provide meal periods and related meal period premiums, failure

to provide rest periods and related rest period premiums, failure to pay minimum and regular wages, failure to pay overtime wages, failure to provide accurate itemized wage statements, failure to timely pay all wages due upon termination of employment, and related unpaid wages, in violation of California Labor Code Sections 201, 202, 203, 204, 210, 218.5, 218.6, 221, 223, 224, 226, 226.3, 226.7, 246, 248.5, 510, 512, 1174, 1174.5, 1194, 1194.2, 1197, 1197.1, 1198, the provisions of the applicable IWC Wage Order(s), alleged violation of Business and Professions Code 17200 *et seq.*, interest, attorneys' fees, damages, liquidated damages, penalties and costs.

Aggrieved Employees, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[A]ny and all claims alleged or which could have been alleged based on the factual allegations alleged in the Operative First Amended Complaint and the PAGA Notice dated May 12, 2021, arising during the PAGA Period, including but not limited to claims for Failure to Provide Compliant Meal Periods and Authorize and Permit Rest Periods [Labor Code Sections 204, 210, 226.7, 512, 558, 1198 and related sections of the applicable IWC Wage Order(s)], Failure to Timely Pay Minimum, Regular and Overtime Wages [Labor Code 204, 210, 223, 225.5, 510, 558, 1194, 1194.2, 1197, 1197.1, 1198, 1199 and related sections of the applicable IWC Wage Order(s)], Failure to Maintain Accurate Records [Labor Code 226, 1174, 1174.5, 1198 and related sections of the applicable IWC Wage Order(s)], Failure to Provide Accurate Itemized Wage Statements [Labor Code 226, 226.3, 246, 1198 and related sections of the applicable IWC Wage Order(s)], Failure to Timely Pay All Wages Due [Labor Code 201, 202, 203, 204, 210 and related sections of the applicable IWC Wage Order(s)], Retaliation [Labor Code 98.6, 246.5, 1102.5, 6310], Civil Penalties for Violation of Labor Code and IWC Wage Orders [Labor Code 98.6, 210, 226.3, 558, 558.1, 1102.5, 1174.1, 1174.5, 1197.1, 2699] Costs, Interest, Liquidated Damages, and Penalties [Labor Code 210, 218.5, 218.6, 225.5, 226, 248.5, 558, 1194, 1194.2, 1197.1, 2802, 2699 *et seq.*].

The foregoing releases are appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

V. FAIRNESS OF SETTLEMENT

Based on the available data provided by Defendants, Class Counsel calculated Defendants' maximum exposure as follows: \$2,156,375.83 (rest period violations); \$2,482,032.58 (meal period violations); \$108,579.67 (off-the-clock work); \$224,000 (wage statement penalties); \$1,640,522.16 (waiting time penalties); and \$2,782,416 (PAGA penalties—totaling \$9,393,926.24.

Class Counsel then considered the risks associated with obtaining class certification, opposing any pretrial motions, succeeding on the merits, and obtaining the full amount of damages. Additionally, Plaintiff anticipates further litigation would involve numerous depositions, voluminous written discovery, law and motion practice, and trial. Thus, Class Counsel estimated the realistic exposure as \$2,348,481.56.

The gross settlement amount is approximately 5% of the maximum exposure and it is 19.7% of the realistic exposure. The proposed settlement is within the range of percentage recoveries that California courts have found to be reasonable. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S.Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Considering the portion of the case's value attributable to uncertain penalties, claims that could be difficult to certify for class treatment, and the multiple, dependent contingencies that Plaintiff would have had to overcome to prevail on the claims, the settlement achieves a good result for the class. For purposes of preliminary approval, the Court finds that the settlement is fair and reasonable to the class, and the PAGA allocation is genuine, meaningful, and reasonable in light of the statute's purposes.

VI. PROPOSED SETTLEMENT CLASS

Plaintiff requests provisional certification of the following class for settlement purposes:

All current and former non-exempt employees who performed work for Defendants in the State of California at any time during the Class Period.

A. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*)). “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only

class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

B. Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*)). A class definition satisfying these requirements

puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, the estimated 312 Class Members are readily identifiable based on Defendants’ records, and the settlement class is appropriately defined based on objective characteristics. The Court finds that the settlement class is numerous, ascertainable, and appropriately defined.

C. Community of Interest

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home Corp.* (2001) 89 Cal.App.4th 908, 916 (*Hicks*)). The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*)). “As a general rule if the defendant’s liability can be

determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff’s claims all arise from Defendants’ wage and hour practices.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative’s interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medraza v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed class, Plaintiff was employed by Defendants as nonexempt, hourly paid employees and Plaintiff alleges that he experienced the violations at issue. The anticipated defenses are not unique to Plaintiff, and there is no indication that their interests are otherwise in conflict with those of the proposed class.

Finally, adequacy of representation “depends on whether the plaintiff’s attorney is qualified to conduct the proposed litigation and the plaintiff’s interests are not antagonistic to the interests of the class.” (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra*, 91 Cal.App.4th at p. 238.) “Differences in individual class members’ proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party’s claim of representative status.” (*Ibid.*, internal citations and quotation marks omitted.)

Plaintiff has the same interest in maintaining this action as any class member would have. Further, he has hired experienced counsel. Plaintiff has sufficiently demonstrated adequacy of representation.

D. Substantial Benefits of Class Certification

“[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . .” (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120, internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.*) “Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification.” (*Ibid.*) Generally, “a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action.” (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, there are an estimated 312 Class Members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

VII. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 45 days to exclude themselves or object.

The form of notice is generally adequate, but must be modified to instruct Class members that they may opt out of or object to the settlement simply by providing their name, without the need to provide their phone number or other personal information.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely.

Turning to the notice procedure, as articulated above, the parties have selected Apex Class Action LLC (“Apex”) as the settlement administrator. No later than fourteen (14) days after receiving the Class data, Apex shall mail the notice packets to Class Members after updating their addresses using the National Change of Address Database. Any returned notices

will be re-mailed to any forwarding address provided or a better address located through a skip trace or other search. Class members who receive a re-mailed notice will have an additional 14 days to respond. These notice procedures are appropriate and are approved.

VIII. SERVICE AWARD, FEES, AND COSTS

Plaintiff requests a service award of \$7,500.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit.

Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation.

These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty’s Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant “reputational risk” in bringing an action against an employer].)

Plaintiff submitted a declaration in support of his request. He states that he has spent approximately 90 hours working on this matter, including locating documents, communicating with Class Counsel, preparing for the mediations, and reviewing documents. (Plaintiff’s Declaration, ¶¶ 21-33.) Plaintiff further states he considered the personal and professional risk of participating in this action. (Plaintiff’s Decl., ¶¶ 35-36, 41.) The Court finds Plaintiff is entitled to a service award and the amount requested is reasonable. Thus, the request is preliminarily approved.

The request for administrative costs in the amount of \$7,990 is supported by the declaration of Sean Hartranft, the Chief Executive Office of Apex. Accordingly, the request is approved.

The Court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class Counsel will seek attorney fees of up to one-third of the gross settlement amount (currently estimated to be \$156,666.68), and litigation costs for up to \$23,000. Prior to any final approval hearing, Class Counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

IX. CONCLUSION

Plaintiff’s motion for preliminary approval is GRANTED.

The final approval hearing shall take place on **February 18, 2027** at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

All current and former non-exempt employees who performed work for Defendants in the State of California at any time during the Class Period.

The Court will prepare the order.

- 00000 -

- 00000 -

Calendar Line 2

Case Name: *Orellana, et al. v. Prompt Food Service, Inc., et al.*
Case No.: 22CV401360

This is a class action in which Plaintiffs Francisco Duenas Orellana (“Duenas Orellana”) and Ronald Lopez Mendez (“Lopez Mendez”) allege defendant Prompt Food Service, Inc committed various wage and hour violations.²

Before the Court is the motion to be relieved as counsel by Mariam Nazaretyan (“Nazaretyan”) and Wilshire Law Firm, PLC (collectively, “Counsel”), who represent Plaintiff Lopez Mendez.³ The motion is unopposed. For reasons discussed below, the Court GRANTS the motion.

I. MOTION TO BE RELIEVED AS COUNSEL

A. Legal Standard

Motions to be relieved as counsel are technical and governed by Rules of Court, rule 3.1362 (“Rule 3.1362”). Notice and motion must be directed to the client on Judicial Council Form MC-051. No memorandum is required. (Rule 3.1362(a) & (b)). Counsel must provide a declaration on Judicial Council Form MC-052 stating “in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1).” (Rule 3.1362(c)).

The notice of motion and motion, the declaration, and the proposed order must be served on the client and all parties “by personal service, electronic service, or mail.” (Rule 3.1362(d)).

If the notice is served on the client by mail under Code of Civil Procedure section 1013, it must be accompanied by a declaration stating facts showing that either:

- (A) The service address is the current residence or business address of the client; or
- (B) The service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days before the filing of the motion to be relieved.

(Rule 3.1362(d).)

The proposed order relieving counsel must be prepared on the Order Granting Attorney’s Motion to Be Relieved as Counsel—Civil (form MC-053) and must be lodged with the court with the moving papers. The order must specify all hearing dates scheduled in the action or proceeding, including the date of trial, if known. If no hearing date is presently scheduled, the court may set one and specify the date in the order. After the order is signed, a copy of the signed

² Counsel uses “Ronaldo” as Plaintiff Lopez Mendez’s first name, however, the Complaint and Odyssey state “Ronald” as his first name. Thus, the Court will use the latter to avoid any confusion or inconsistencies with its records.

³ There is also a representative PAGA action between the parties (22CV403853) and Counsel has filed a motion to be relieved as counsel in that action as well.

order must be served on the client and on all parties that have appeared in the case. The court may delay the effective date of the order relieving counsel until proof of service of a copy of the signed order on the client has been filed with the court.

(Rule 3.1362(e).)

B. Discussion

Nazaretyan submitted a declaration in support of Counsel's motion. She states that the motion is made pursuant to Rules of Professional Conduct Rule 1.16(b) and it is due to a breakdown in the attorney-client relationship with Plaintiff Lopez Mendez with respect to his individual claims. She further states that Counsel will continue to represent Plaintiff Duenas Orellana and aggrieved employees in the PAGA action.

With regard to service, Nazaretyan states that Plaintiff Lopez Mendez was served by mail at his last known address with copies of the motion papers along with the declaration. She confirmed within the past 30 days that the address is current by using a skip trace. The motion papers were mailed to the last known address with a return receipt requested and the documents were emailed to Plaintiff Lopez Mendez at his last known e-mail address. This is sufficient to meet the requirements of Rule 3.1362(d)(1)(A).

Counsel has provided a proposed order on the correct judicial counsel form (MC-053). The proposed order indicates that there is a case management conference ("CMC") on August 20, 2026 and the docket shows that there is a motion for approval of PAGA settlement and Counsel's motion to be relieved as counsel in the PAGA action. The Court's docket does not reflect any other scheduled hearing.

Based on the foregoing, Counsel's motion is GRANTED.

II. CONCLUSION

The motion to be relieved as counsel is GRANTED.

The Court will prepare the final order.

- oo0oo -

- oo0oo -

Calendar Lines 3-4

Case Name: *Orellana, et al. v. Prompt Food Service, Inc., et al.*
Case No.: 22CV403853

This is a representative action under the Private Attorneys General Act (“PAGA Plaintiffs Francisco Duenas Orellana (“Duenas Orellana”) and Ronaldo Lopez Mendez (“Lopez Mendez”) allege defendant Prompt Food Service, Inc. (“Prompt”) committed various wage and hour violations.⁴

Before the Court is (1) Plaintiff Duenas Orellana’s motion for approval of PAGA settlement and (2) the motion to be relieved as counsel by Mariam Nazaretyan (“Nazaretyan”) and Wilshire Law Firm, PLC (collectively, “Counsel”), who represent Plaintiff Mendez. Both motions are unopposed.

For reasons discussed below, the Court GRANTS Counsel’s motion to be relieved as Counsel for Plaintiff Lopez Mendez and GRANTS Plaintiff Duenas Orellana’s motion for approval of PAGA settlement.

X. BACKGROUND

According to the allegations of the operative Complaint, Plaintiff Duenas Orellana worked for Defendant as an hourly-paid, non-exempt employee from November 2021 to April 2022. (Complaint, ¶ 8.) Plaintiff Lopez Mendez worked for Defendant as an hourly-paid, non-exempt employee from December 2021 to March 2022. (Complaint, ¶ 9.)

Defendant failed to: pay for all hours worked, including minimum and overtime wages; provide meal periods of compensation in lieu thereof; provide rest periods or compensation in lieu thereof; pay all earned wages twice a month; maintain accurate records; timely pay all wages at termination; furnish accurate itemized wage statements; and produce requested employment records.

On September 30, 2022, Plaintiffs initiated this action with the filing of the representative PAGA action.

XI. MOTION TO BE RELIEVED AS COUNSEL

C. Legal Standard

Motions to be relieved as counsel are technical and governed by Rules of Court, rule 3.1362 (“Rule 3.1362”). Notice and motion must be directed to the client on Judicial Council Form MC-051. No memorandum is required. (Rule 3.1362(a) & (b)). Counsel must provide a declaration on Judicial Council Form MC-052 stating “in general terms and without compromising the confidentiality of the attorney-client relationship why a motion under Code

⁴ Counsel uses “Ronaldo” as Plaintiff Lopez Mendez’s first name, however, the Complaint and Odyssey state “Ronald” as his first name. Thus, the Court will use the latter to avoid any confusion or inconsistencies with its records.

of Civil Procedure section 284(2) is brought instead of filing a consent under Code of Civil Procedure section 284(1).” (Rule 3.1362(c)).

The notice of motion and motion, the declaration, and the proposed order must be served on the client and all parties “by personal service, electronic service, or mail.” (Rule 3.1362(d)).

If the notice is served on the client by mail under Code of Civil Procedure section 1013, it must be accompanied by a declaration stating facts showing that either:

(A) The service address is the current residence or business address of the client; or

(B) The service address is the last known residence or business address of the client and the attorney has been unable to locate a more current address after making reasonable efforts to do so within 30 days before the filing of the motion to be relieved.

(Rule 3.1362(d).)

The proposed order relieving counsel must be prepared on the Order Granting Attorney’s Motion to Be Relieved as Counsel—Civil (form MC-053) and must be lodged with the court with the moving papers. The order must specify all hearing dates scheduled in the action or proceeding, including the date of trial, if known. If no hearing date is presently scheduled, the court may set one and specify the date in the order. After the order is signed, a copy of the signed order must be served on the client and on all parties that have appeared in the case. The court may delay the effective date of the order relieving counsel until proof of service of a copy of the signed order on the client has been filed with the court.

(Rule 3.1362(e).)

D. Discussion

Nazaretyan submitted a declaration in support of Counsel’s motion. She states that the motion is made pursuant to Rules of Professional Conduct Rule 1.16(b) and it is due to a breakdown in the attorney-client relationship with Plaintiff Lopez Mendez. She further states that Counsel will continue to represent Plaintiff Duenas Orellana and aggrieved employees in the PAGA action.

With regard to service, Nazaretyan states that Plaintiff Lopez Mendez was served by mail at his last known address with copies of the motion papers along with the declaration. She confirmed within the past 30 days that the address is current by using a skip trace. The motion papers were mailed to the last known address with a return receipt requested and the documents were emailed to Plaintiff Lopez Mendez at his last known e-mail address. This is sufficient to meet the requirements of Rule 3.1362(d)(1)(A).

Counsel has provided a proposed order on the correct judicial counsel form (MC-053). The proposed order indicates that there is a case management conference (“CMC”) on August 20, 2026 and the docket shows that there is a motion for approval of PAGA settlement and

Counsel's motion to be relieved as counsel in the Class action. The Court's docket does not reflect any other scheduled hearing.

Based on the foregoing, Counsel's motion is GRANTED. Counsel is ordered to inform Plaintiff Lopez Mendez to appear at the hearing.

XII. MOTION FOR APPROVAL OF PAGA SETTLEMENT

Plaintiff Duenas Orellana moves for an order approving the PAGA Settlement (the "Settlement") between him and Defendant.

A. LEGAL STANDARD FOR APPROVING PAGA SETTLEMENT

Under PAGA, an aggrieved employee may bring a civil action personally and on behalf of other current or former employees to recover civil penalties for Labor Code violations. (*Iskanian v. CLS Transp. Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) ___ U.S. ___, 2022 U.S. LEXIS 2940.) 75 percent of any penalties recovered go to the Labor and Workforce Development Agency (LWDA), leaving the remaining 25 percent for the employees. (*Ibid.*) PAGA is intended "to augment the limited enforcement capability of [LWDA] by empowering employees to enforce the Labor Code as representatives of the Agency." (*Id.* at p. 383.) A judgment in a PAGA action binds all those, including nonparty aggrieved employees, who would be bound by a judgment in an action brought by the government. (*Id.* at p. 381.)

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) "[C]lass certification is not required" in this context as in a class action. (*Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 (*Haralson*).)

Similar to its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77 (*Moniz*).) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson, supra*, 383 F. Supp. 3d at p. 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public"], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O'Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

B. PLAINTIFF'S INVESTIGATION, SETTLEMENT PROCESS, AND THE PARTIES' AGREEMENT

On September 30, 2022, Plaintiffs initiated this action on January 5, 2024, with the filing of the operative Complaint. Prior to filing the Complaint, Plaintiffs gave notice to the Labor and Workforce Development Agency ("LWDA"). The parties agreed to mediate the PAGA action with Russ Wunderli ("Wunderli"), a well-respected and experienced mediator of wage and hour and representatives PAGA actions. PAGA Counsel conducted a thorough investigation into the facts and applicable law. The parties conducted informal discovery and Defendant produced a representative sampling of time and payroll data for aggrieved employees and the necessary policy documents to properly evaluate the strengths and weaknesses of the claims and engage in meaningful settlement discussions.

On March 12, 2025, the parties engaged in an all-day mediation session with Wunderli and with his help, the parties were able to reach an agreement on general settlement terms at mediation.

Pursuant to the parties' agreement, Defendant will pay a non-reversionary gross settlement amount \$115,000, which is comprised of \$38,333.33 in attorneys' fees, litigation costs not to exceed \$27,000, and \$3,250 in administration costs. The \$43,775.32 will be distributed 75% (\$32,831.49) to the LWDA and 25% (\$10,943.83) to "Aggrieved Employees," who are defined as "all current and former hourly-paid, non-exempt employees directly employed by Defendant in the State of California during the PAGA Period [July 29, 2021 through July 12, 2025]." There are approximately 100 Aggrieved Employees and there is an estimated 3,800 pay periods in the PAGA Period. Plaintiff Orellana will seek a service award of \$7,500.

In exchange for settlement, Aggrieved Employees will release:
[A]ll claims for PAGA civil penalties that are alleged or reasonably could have been alleged based on the facts alleged in the PAGA Action and the PAGA Notice during the PAGA Period.⁵

The release is appropriately tailored to the allegations at issue, and it does not release any claims other than those for PAGA penalties. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537; *Moniz, supra*, 72 Cal.App.5th at p. 82 [release of "all known and unknown claims under PAGA ... that were or could have been pled based on the allegations of the Complaint" was appropriately approved].)

C. DISCUSSION

1. Potential Verdict Value

In the Complaint, Plaintiff alleges meal period violations, rest break violations, unpaid wages, failure to pay overtime wages, failure to pay timely wages, and failure to maintain records.

⁵ The Released PAGA Claims are those that accrued during the PAGA Period.

Plaintiff's counsel estimated the maximum amount of statutory PAGA civil penalties as approximately \$380,000 for estimated 100 employees based on 3,800 pay periods. Plaintiff states that the gross settlement amount is favorable especially in consideration of the risks associated with further litigation, Defendant's defenses, the possibilities of appeals, and the potential reduction of any recovery.

The gross settlement represents approximately 30.2% of the maximum exposure. This is within the percentage range typically approved by courts. (See *Cavazos v. Salas Concrete, Inc.* (E.D. Cal., Feb. 18, 2022, No. 1:19-cv-00062-DAD-EPG) 2022 U.S. Dist. LEXIS 30201, at *41-42 [citing cases approving settlements in the range of 5 to 35 percent of the maximum potential exposure].)

Given this, as well as the risks attendant to proceeding to trial, Defendant's defenses and the likelihood that PAGA penalties would be significantly reduced in line with numerous appellate decisions, the Court finds that the proposed settlement is fair to those affected and is genuine, meaningful, and reasonable in light of the statute's purposes.

2. Attorney Fees

While the PAGA statute does not expressly require judicial review of claimed attorney fees, the Court believes it cannot adequately fulfill its statutory duty to review the penalties associated with PAGA settlements without also considering attorney fees. The Court thus finds that it must scrutinize the attorney fee arrangement associated with a PAGA settlement. This is consistent with the observation of many courts that PAGA claims are analogous to "*qui tam*" suits like those under the federal False Claims Act: when reviewing settlements of *qui tam* claims, courts should and do consider any associated attorney fee arrangement. (See *U.S. v. Texas Instruments Corp.* (9th Cir. 1994) 25 F.3d 725, 728 [attorney fee award must be considered by the trial court as part of its review of the "entire settlement arrangement"].)

As articulated above, Plaintiff seeks a fee award of \$38,333.33 in attorneys' fees. Plaintiff counsel submits a lodestar figure of \$194,565 based on 224.4 hours of work at billing rates ranging from \$600 to \$1,500 per hour resulting in a negative multiplier of 0.20. This is below the range of multipliers that courts typically approve. (See *Laffitte v. Robert Half Intern. Inc.* (2016) 1 Cal.5th 480, 488, 503–504 (*Laffitte*) [trial court did not abuse its discretion in approving fee award of 1/3 of the common fund, cross-checked against a lodestar resulting in a multiplier of 2.03 to 2.13]; *Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 255 ["[m]ultipliers can range from 2 to 4 or even higher"]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court's own survey of large settlements finding "a range of 0.6–19.6, with most (20 of 24, or 83%) from 1.0–4.0 and a bare majority (13 of 24, or 54%) in the 1.5–3.0 range"].)

Here, given the amount of work performed by PAGA Counsel, and because the requested multiplier sought by them is below the range of multipliers regularly approved by California courts in similar actions, the Court finds PAGA Counsel's requested fee award is reasonable and therefore it is approved.

3. Other Costs and Expenses

PAGA counsel requests litigation costs in the amount of \$22,141.35. This is supported by declaration of PAGA Counsel John G. Yslas and is below the \$27,000 provided for in the Settlement. Thus, this amount appears reasonable and is approved.

Administration costs of \$3,250 are also approved.

D. ADMINISTRATION PROCESS

The parties agreed on Apex Class Action Administration (“Apex”) as the settlement administrator. Pursuant to the terms of the Settlement, Defendant shall fully fund the gross settlement amount within 30 days after the effective date. Within 10 calendar days after Defendant funds the gross settlement amount, Apex will issue checks for the individual PAGA payments and send them to Aggrieved Employees, along with the PAGA settlement notice. Apex shall conduct an address search for all Aggrieved Employees whose checks are returned as undeliverable. Within 7 calendar days of receiving a returned check, Apex shall re-mail the checks. Funds associated with checks uncashed after 180 days will be transmitted to St. Jude’s Children’s Hospital. These administrative procedures are appropriate and are approved.

XIII. CONCLUSION

Counsel’s motion to be relieved as counsel for Plaintiff Lopez Mendez is GRANTED. Counsel is ordered to inform Plaintiff Lopez Mendez to appear at the hearing.

Plaintiff Duenas Orellana’s motion for approval of the parties’ PAGA settlement is GRANTED. The covered individuals are: all current and former hourly-paid, non-exempt employees directly employed by Defendant in the State of California during the PAGA Period.

Judgment shall be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiff and the Aggrieved Employees shall take from the PAGA claim in their Complaint only the relief set forth in the parties’ settlement agreement and this order and judgment. The Court retains jurisdiction over the parties to enforce the terms of the PAGA settlement agreement and the final order and judgment.

The Court sets a compliance hearing for April 22, 2027 at 2:30 P.M. in Department 22. At least ten court days before the hearing, Plaintiff’s counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted the cy pres recipient; the status of any unresolved issues; and any other matters appropriate to bring to the Court’s attention. Counsel may appear at the compliance hearing remotely.

The Court will prepare the order.

- oo0oo -

- 00000 -

Calendar Lines 5-6

Case Name: *Z.G. v. Google, LLC*

Case No.: 25CV468773

This action arises out of defendant Google, LLC's ("Defendant" or "Google") allegedly harmful conduct directed toward minors.

Before the Court is Google's demurrer to the Complaint, which is opposed by Plaintiff Z.G. ("Plaintiff"). Google has filed a reply and a notice of supplemental authority, which the Court has considered. Also before the Court is Z.G.'s counsel's application for admission pro hac vice.

As discussed below, the Court OVERRULES Defendant's demurrer in its entirety. The Court GRANTS the application for admission pro hac vice.

XIV. BACKGROUND

According to the allegations of the Complaint, Google sells Chromebook computers and related products to schools for use by the children attending those schools. (Complaint, ¶ 1.) Google's products for schools include Google Chromebooks, the ChromeOS operating system, Chrome browser, the Google Workspace for Education suite of applications that are used by students, and the Admin Console, a suite of administrative tools that are available to school personnel. (Complaint, ¶ 4.) Plaintiff alleges that these products are defective because they allow children unfettered and unsupervised access to the open Internet. (Complaint, ¶ 6.) Google did not inform Plaintiff's parents about the dangers of its products. (Complaint, ¶¶ 133-134.)

Due to Google's alleged failure to design its products with the safety of children in mind, Plaintiff, then a 10-year-old fifth grade student used her school issued Chromebook to create an account on the online communication platform, Discord. (Complaint, ¶¶ 14-15.) On Discord, Plaintiff was targeted by someone using the username lil_pain. (Complaint, ¶ 16.) Plaintiff and lil_pain began messaging, lil_pain sent Plaintiff sexually explicit messages, and ultimately, the two engaged in sexual roleplaying. (Complaint, ¶¶ 140-142, 144.)

Based on the foregoing, Plaintiff initiated this action on June 20, 2025, with the filing of the operative Complaint, which asserts the following causes of action: (1) strict liability – product design, (2) strict liability – failure to warn, (3) negligence – design, (4) negligence – failure to warn, (5) negligence.

XV. DEMURRER

Defendant demurs to each cause of action in the Complaint on the grounds that it is immune from suit under section 230 of title 47 of the United States Code ("section 230") and that each cause of action fails to state a cause of action upon which relief can be granted. (Code Civ. Proc., § 430.10, subd. (e).)

A. Requests for Judicial Notice

Google requests judicial notice of the following documents:

- (1) The Complaint filed in *Z.G. v. Bakersfield City School District*, et al., No. BCV-25-102397 (Superior Court of the State of California, County of Kern, June 27, 2025): Exhibit A;
- (2) Aleeya Fitzgerald, District Discord: How predators are reaching students on school-issued laptops, KGET News (February 13, 2024), <https://www.kget.com/news/local-news/district-discord-how-bcsd-allowed-an-online-platform-without-notifying-parents/>: Exhibit B.

With regard to Exhibit A, it is a court record and the proper subject of judicial notice. (See Evid. Code, § 452, subd. (d) [Judicial notice may be taken of “records of (1) any court of this state or (2) any court of record in the United States or of any state of the United States.”].) However, judicial notice may be taken of the documents existence and filing and not of the truth of its contents. (See *Oh v. Teachers Ins. & Annuity Assn. of America* (2020) 53 Cal.App.5th 71, 79-81.) As to Exhibit B, it is a news article referenced in the Complaint. The Court GRANTS judicial notice of Exhibit A but denies judicial notice of Exhibit B as it appears that Google is seeking judicial notice for the truth of the contents of the news article. (See *Kashian v. Harriman* (2002) 98 Cal.App.4th 892, 900, fn. 3 [taking judicial notice of existence of news articles but declining to notice truth of the contents].)

Plaintiff requests judicial notice of Google’s “Learn About Chromebooks for Schools” webpage on the Google for Education website: Exhibit 1. Plaintiff contends that she is not seeking judicial notice of the content of the website but only its existence. Accordingly, the Court GRANTS judicial notice of Exhibit 1.

B. Legal Standard

The function of a demurrer is to test the legal sufficiency of a pleading. (*Trs. Of Capital Wholesale Elec. Etc. Fund v. Shearson Lehman Bros.* (1990) 221 Cal.App.3d 617, 621.) Consequently, “[a] demurrer reaches only to the contents of the pleading and such matters as may be considered under the doctrine of judicial notice.” (*South Shore Land Co. v. Petersen* (1964) 226 Cal.App.2d 725, 732, internal citations and quotation marks omitted; see also Code Civ. Proc., § 430.30, subd. (a).) “It is not the ordinary function of a demurrer to test the truth of the plaintiff’s allegations or the accuracy with which he describes the defendant’s conduct. ... Thus, ... the facts alleged in the pleading are deemed to be true, however improbable they may be.” (*Align Technology, Inc. v. Tran* (2009) 179 Cal.App.4th 949, 958, internal citations and quotation marks omitted.)

In ruling on a demurrer, the allegations of the complaint must be liberally construed, with a view to substantial justice between the parties. (*Glennen v. Allergan, Inc.* (2016) 247 Cal.App.4th 1, 6.) Nevertheless, while “[a] demurrer admits all facts properly pleaded, [it does] not [admit] contentions, deductions or conclusions of law or fact.” (*George v. Automobile Club of Southern California* (2011) 201 Cal.App.4th 1112, 1120.)

C. Discussion

Defendant argues that the entirety of the Complaint is barred by section 230, part of the Communications Decency Act of 1996 (“CDA”). It further contends that each cause of action fails to state a claim.

1. The Communications Decency Act of 1996 (47 U.S.C. § 230)

Section 230, subdivision (c)(1) states that “[n]o provider or user of an interactive computer service shall be treated as the publisher or speaker of any information provided by another information content provider.” Section 230 “precludes courts from entertaining claims that would place a computer service provider in a publisher’s role. Thus, lawsuits seeking to hold a service provider liable for its exercise of a publisher’s traditional editorial functions—such as deciding whether to publish, withdraw, postpone or alter content—are barred.” (*Hassell v. Bird* (2018) 5 Cal.5th 522, 536 (*Hassell*), quoting *Zeran v. America Online, Inc.* (4th Cir. 1997) 129 F.3d 327, 330 (*Zeran*).) Section 230(c)(1) thus immunizes providers of interactive computer services (service providers) and their users from causes of action asserted by persons alleging harm caused by content provided by a third party. This form of immunity requires (1) the defendant be a provider or user of an interactive computer service; (2) the cause of action treat the defendant as a publisher or speaker of information; and (3) the information at issue be provided by another information content provider. (*Gentry v. eBay, Inc.* (2002) 99 Cal.App.4th 816, 830 (*Gentry*); *Murphy v. Twitter, Inc.* (2021) 60 Cal.App.5th 12, 24 (*Murphy*); *Barnes v. Yahoo!, Inc.* (9th Cir. 2009) 570 F.3d 1096, 1100-1101 (*Barnes*).)

“The CDA—of which section 230 is a part—was enacted in 1996.” (*Delfino v. Agilent Technologies, Inc.* (2006) 145 Cal.App.4th 790, 802 (*Delfino*).) “Its ‘primary goal ... was to control the exposure of minors to indecent material’ over the Internet.” (*Ibid.*, quoting *Batzel v. Smith* (9th Cir. 2003) 333 F.3d 1018, 1026.) “Thus, an ‘important purpose of [the CDA] was to encourage [Internet] service providers to self-regulate the dissemination of offensive materials over their services.’ ” (*Ibid.*, quoting *Zeran, supra*, 129 F.3d at p. 331.) Section 230, subdivision (c)(2) consequently immunizes service providers who endeavor to restrict access to objectionable material.⁶

A second, but related, objective of the CDA “was to avoid the chilling effect upon Internet free speech that would be occasioned by the imposition of tort liability upon companies that do not create potentially harmful messages but are simply intermediaries for their delivery.” (*Delfino, supra*, 145 Cal.App.4th at pp. 802-803.) The legislative history reflects that Congress was responding to a New York trial court case where “a service provider was held liable for defamatory comments posted on one of its bulletin boards, based on a finding that the provider had adopted the role of ‘publisher’ by actively screening and editing

⁶ Section 230(c)(2) provides:

[n]o provider or user of an interactive computer service shall be held liable on account of--

(A) any action voluntarily taken in good faith to restrict access to or availability of material that the provider or user considers to be obscene, lewd, lascivious, filthy, excessively violent, harassing, or otherwise objectionable, whether or not such material is constitutionally protected; or

(B) any action taken to enable or make available to information content providers or others the technical means to restrict access to material described in paragraph (1).

postings.” (*Barrett v. Rosenthal* (2006) 40 Cal.4th 33, 44 (*Barrett*)). “ ‘Fearing that the specter of liability would ... deter service providers from blocking and screening offensive material,’ ” Congress forbid “ ‘the imposition of publisher liability on a service provider for the exercise of its editorial and self-regulatory functions.’ ” (*Id.*, quoting *Zeran, supra*, 129 F.3d at p. 331.) Thus, section 230, subdivision (c)(1) “ ‘confer[s] broad immunity on Internet intermediaries’ ” in “ ‘a strong demonstration of legislative commitment to the value of maintaining a free market for online expression.’ ” (*Hassell, supra*, 5 Cal.5th at p. 539, quoting *Barrett, supra*, 40 Cal.4th at p. 56.)

The Ninth Circuit has stated that “any activity that can be boiled down to deciding whether to exclude material that third parties seek to post online is perforce immune under section 230.” (*Fair Hous. Council v. Roommates.com, LLC* (9th Cir. 2008) 521 F.3d 1157, 1170–1171 (*Roommates*); see also *Riggs v. MySpace, Inc.* (9th Cir. 2011) 444 Fed.App’x. 986, 987 [district court properly dismissed claims “arising from MySpace’s decisions to delete Riggs’s user profiles on its social networking website yet not delete other profiles Riggs alleged were created by celebrity imposters”].) California opinions have similarly reasoned that this “type of activity”—“to restrict or make available certain material”—“is expressly covered by section 230.” (*Doe II v. MySpace Inc.* (2009) 175 Cal.App.4th 561, 572–573 [describing “the general consensus to interpret section 230 immunity broadly, extending from *Zeran* ...”]; see also *Hassell, supra*, 5 Cal.5th at p. 537 [California “courts have followed *Zeran* in adopting a broad view of section 230’s immunity provisions”].)

In short, “[n]umerous courts have held the CDA bars claims based on a failure to remove content posted by others.” (*Cross v. Facebook, Inc.* (2017) 14 Cal.App.5th 190, 207 [citing cases].)

Consistent with the language of section 230(c)(1), these cases do not question the service provider’s motive in deciding whether to remove content from its service. (See *Hassell, supra*, 5 Cal.5th at p. 540 [noting that *Barrett* voiced “qualms” that *Zeran*’s interpretation of section 230 provides blanket immunity for those who intentionally redistribute defamatory statements, but held “these concerns were of no legal consequence” where principles of statutory interpretation compelled a broad construction].) Notably, section 230, subdivision (c)(2)(A) expressly includes a “good faith” requirement for immunity from claims arising from service providers’ actions in restricting access to certain content. But section 230, subdivision (c)(1) has no good faith requirement. (See *Levitt v. Yelp! Inc.* (N.D.Cal. Oct. 26, 2011, No. C-10-1321 EMC) 2011 U.S.Dist.LEXIS 124082, at *20–29, aff’d (9th Cir. 2014) 765 F.3d 1123 [section 230(c)(1) immunity applied to allegations that Yelp manipulated plaintiffs’ user reviews in order to induce them to pay for advertising].) “That § 230(c)(2) expressly provides for a good faith element omitted from § 230(c)(1) indicates that Congress intended not to import a subjective intent/good faith limitation into § 230(c)(1).” (*Id.* at *23–24; see also *Lewis v. Google LLC* (N.D.Cal. 2020) 461 F. Supp. 3d 938, 953 [“only subdivision (c)(2), not subdivision (c)(1), requires any ‘good faith’ ”]; *Spy Phone Labs LLC v. Google Inc.* (N.D.Cal. Oct. 14, 2016, No. 15-cv-03756-KAW) 2016 U.S.Dist.LEXIS 143530, at *26 [“Section 230(c)(1) immunity ... by its plain terms does not require good faith”].)

i. Application

Defendant argues that all of the causes of action in the complaint are barred by section 230.

Section 230 immunity applies requires (1) the defendant be a provider or user of an interactive computer service; (2) the cause of action treat the defendant as a publisher or speaker of information; and (3) the information at issue be provided by another information content provider. (*Gentry, supra*, 99 Cal.App.4th at p. 830; *Murphy, supra*, 60 Cal.App.5th at p. 24; *Barnes, supra*, 570 F.3d at pp. 1100-1101.)

The parties do not dispute that the third element is met. But, Plaintiff disputes whether Google is an interactive computer service with regard to each of the products claimed to be defective, which include Google Chromebooks, the ChromeOS operating system, Chrome browser, the Google Workspace for Education, and the Admin Console. “Section 230 defines an interactive computer service as any information service, system, or access software provider that provides or enables computer access by multiple users to a computer server, including specifically a service or system that provides access to the Internet and such systems operated or services offered by libraries or educational institutions. (§ 230(f)(2).)” (*Hassell, supra*, 5 Cal.5th at p. 535.)

Google contends that, because its products provide internet access, it is an interactive computer service within the meaning of section 230, subdivision (f). Plaintiff counters that Google is not an interactive computer service with respect to the Google Workspace for Education (“GWFE”) and the Admin Console. Plaintiff contends that these are both suites of applications that do not enable internet access. The Court finds that Google is an interactive computer service for the purposes of this demurrer. (*Kathleen R. v. City of Livermore* (2001) 87 Cal.App.4th 684, 692 [“Respondent [city] provides an ‘interactive computer service’ in this case because its library computers enable multiple users to access the Internet.”]; *Barnes, supra*, 570 F.3d at p. 1101 [concluding that as an operator of a website, Yahoo acts as a provider of an interactive computer service].) While Plaintiff contends that the GWFE and Admin console do not provide internet access, the basis for Google’s liability in the Complaint its provision of unrestricted internet access to children, allowing them to view harmful content. Moreover, based on the text of the Complaint as pled, it is not clear that any alleged defects with the GWFE and Admin console form the basis of any of the causes of action. Each of the five causes of action incorporate the preceding paragraphs by reference. (Complaint, ¶¶ 220, 242, 258, 274, 290.) But, in paragraph 221 of the Complaint, Plaintiff limits the products the Complaint addresses: “At all relevant times, Google designed, developed, managed, operated, tested, produced, labeled, marketed, advertised, promoted, controlled, sold, supplied, distributed, and benefited from its *Chromebooks, ChromeOS, and Chrome web browser* (collectively, ‘Google’s Products’ or ‘Products’) used by Plaintiff Z.G.” (Complaint, ¶ 221, *italics added*.) This limited definition, used throughout the text of the causes of action, excludes the GWFE and Admin console.

The parties also dispute whether the causes of action in the Complaint treat Defendant as a publisher. “At common law, a publisher was someone who intentionally or negligently disseminated information to third parties.” (*Henderson v. Source for Pub. Data, L.P.* (4th Cir. 2022) 53 F.4th 110, 121 (*Henderson*).) Traditional publisher liability held that if a publisher took upon itself the task of moderating or editing the content that appeared within its pages, it became responsible for anything tortious written there. (*Doe v. Internet Brands, Inc.* (9th Cir. 2016) 824 F.3d 846, 851-852 (*Internet Brands*).) “[A] Claim only treats the defendant as the publisher or speaker of any information under [Section 230, subd. (c)(1)] if it (1) bases the defendant’s liability on the disseminating information to third parties and (2) imposes liability based on the information’s improper content. (*Henderson, supra*, 53 F.4th at p. 123.) A

defendant’s conduct as a publisher includes “reviewing, editing, and deciding whether to publish or withdraw from publication third-party content. (*Barnes, supra*, 570 F.3d at p. 1102.) But, it is not enough that a claim, including its underlying facts, stem from third-party content for section 230 immunity to apply. (*Calise v. Meta Platforms, Inc.* (9th Cir. 2024) 103 F.4th 732, 742 (*Calise*)). The proper analysis is to “examine closely the duty underlying each cause of action and decide if it derives from the defendant’s status or conduct as a publisher or speaker.” (*Est. of Bride v. YOLO Techs., Inc.* (9th Cir. 2024) 112 F.4th 1168, 1179.) In *Calise*, the Ninth Circuit court established a two-prong test regarding the applicability of Section 230 immunity: (1) the court must examine “what is the right from which the duty springs”; and (2) “what is this duty requiring the defendant to do? If it obliges the defendant to monitor third-party content—or else face liability, then that too is barred by § 230(c)(1).” (*Calise, supra*, 103 F.4th at p. 742.)

Defendant contends that all five causes of action are barred by both subdivision (c)(1) and subdivision (c)(2) of section 230. Here, Plaintiff’s Complaint contains three main classes of claims, those involving improper design (the strict liability product design and negligent product design claims), those involving failure to warn (the strict liability failure to warn and negligent failure to warn claims, and a general negligence claim. The main thrust of Plaintiffs product design and negligence claims is that Defendant created a dangerous situation by allowing unfettered access to the internet. (See, e.g., Complaint, ¶¶ 5, 9-12, 14-16, 20, 30, 34, 40, 42-43, 57, 130.) The Complaint pleads that the internet is dangerous because of the content it contains. (See Complaint, ¶¶ 30 [“Google’s Products fail to perform as safely as an ordinary consumer would expect when used by children at school or for school purposes because, by default, they give children largely unrestricted access to the internet, where Google knows children are likely to be exposed to harmful content, such as pornography and ultraviolence, and harmful communications, such as cyberbullying and sexual predation.”]; 40 [“But the internet is inherently dangerous for children. It facilitates access to an array of harmful content and communications, such as websites and platforms intended exclusively for those 13 and older; explicit, obscene, and disturbing images and videos; exploitative products and services designed to addict users; invasive data practices; and—as in this case—online predation.”].)

But, Defendant’s alleged duty arises under the Complaint from its failure to design its products to remove internet access or allow school staff or parents to limit such access. (Complaint, ¶¶ 94 [Google “should not design those Products to permit and promote broad internet access by default”], 267 [“Google breached its duty in designing its Products.”], 305 [“Google breached its duty of care owed to Z.G. through its affirmative malfeasance, actions, business decisions, and policies in the development, setup, management, maintenance, operation, marketing, advertising, promotion, supervision, and control of its Products. Those breaches include: . . . designing its Products to facilitate and encourage broad internet access; . . . designing its Products to encourage school-aged children to broadly access the internet; . . . failing to design its Products so they can be made safe by third parties, including school personnel and parents; . . . designing its Products in a manner that prevents third parties, including school administrators or parents, from configuring it for safe use; . . . failing to implement effective parent access, monitoring, and controls despite knowing that its Products would be used in the home environment . . .”].) Therefore, the duties underlying the two product defect causes of action and the negligence cause of action are not derived from Defendant’s status as a publisher or speaker. (See *Calise, supra*, 103 F.4th at p. 742.) In other words, Defendant could satisfy its duty regarding the design of the products without

monitoring, removing, or publishing content. (See *Lemmon v. Snap, Inc.* (9th Cir. 2021) 995 F.3d 1085, 1092.) As a result, these claims are not barred by section 230.

As to the failure to warn claims specifically, the thrust of those claims is that Google did not warn Plaintiff’s parents regarding the alleged design flaw, which, as discussed above, Plaintiff alleges is unfettered internet access in products for children. (See Complaint, ¶¶ 250 [“Google’s Products are defective and unreasonably dangerous because, among other reasons described herein, Google failed to exercise reasonable care to inform consumers—including the District, parents, and students—that: . . . its Products provided inadequate restrictions to and monitoring of user access and use of the internet; . . . its Products are designed to promote and encourage persistent and broad internet access . . .”], 278-282.) Thus, “[t]he duty to warn allegedly imposed by California law would not require [Google] to remove any user content or otherwise affect how it publishes or monitors such content.” (*Internet Brands, supra*, 824 F.3d at p. 851.) Any alleged failure to warn could be cured by simply informing school staff and parents regarding the risks of unmonitored internet access and would not require Google to take any publishing-related actions.

Defendant also asserts that Plaintiffs claims are barred by subdivision (c)(2)(B) of section 230, which provides that no interactive computer service provider shall be held liable “on account of . . . any action taken to enable or make available to information content providers or others the technical means to restrict access to material” that “the provider or user considers to be obscene, lewd, lascivious, filthy, excessively violent, harassing, or otherwise objectionable[.]” (§ 230, subd. (c)(2)(A)&(B).) Defendant contends that it has taken such action by providing administrative tools that can be used by school districts to restrict access to harmful materials. But, to the extent Plaintiff is making a claim based on the administrative tools, those claims are not separated into separate causes of action from the claims based on the provision of other Google products. As a demurrer does not lie to a portion of a cause of action, the demurrer is not sustainable on this ground. (See *PH II, Inc. v. Superior Court* (1995) 33 Cal.App.4th 1680, 1682.)

The Court finds that section 230 immunity does not bar Plaintiff’s claims.

2. Failure to State a Claim

i. Failure to State a Design Defect Claim

Defendant next asserts that Plaintiff has not stated a viable design defect claim. Specifically, it contends that no court has held that access to the internet constitutes a cognizable injury and that product defect claims do not extend to injuries caused by ideas or expression. As to the first point, this argument misses the mark. The Complaint alleges that Defendant specifically marketed the products for children, yet the design of the products rendered them unsafe for use by children. (See Complaint, ¶¶ 113-123.) Thus, Plaintiff does not plead that merely internet access harmed her but that children are allowed unfettered access without controls and without allowing the parents or the school district to control the access. Accordingly, the Court rejects this argument.

As to Defendant's latter point, the cases it cites are distinguishable. In *Walters v. Seventeen Mag.* (1987) 195 Cal. App. 3d 1119, 1122-1123, the Court of Appeal held that a magazine publisher was not liable for failing to investigate the safety of a product in an advertisement it published. In *Winter v. G.P. Putnam's Sons* (9th Cir. 1991) 938 F.2d 1033, 1036, the Court declined to find a publisher liable for injury that occurred based on improper information printed in a book about mushrooms, stating "we decline to expand products liability law to embrace the ideas and expression in a book." In *Bogard v. TikTok Inc.* (N.D. Cal. Feb. 24, 2025), No. 24-CV-03131-VKD [2025 U.S. Dist. LEXIS 32959, at *21], the Court of Appeal explained, "As framed by Plaintiffs, the alleged 'defect' is not 'content-agnostic,' but instead reflects a disagreement about 'ideas, content, and free expression upon which products liability claims cannot be based.' [Citations.]" Here, as discussed above, Plaintiff is not seeking to hold Defendant liable for publishing activities. Accordingly, these cases are inapposite.

ii. Causation

Defendant further asserts that Plaintiff has not adequately pled causation for each of the claims. It relies primarily on *Modisette v. Apple Inc.* (2018) 30 Cal.App.5th 136 (*Modisette*). In that case, a person drove while using the FaceTime application on his iPhone and crashed into another car, causing serious injury to two of the occupants and the death of a third. (*Id.* at p. 139.) The two survivors sued Apple, alleging that it should have implemented a safer iPhone design that would have automatically prevented drivers from using FaceTime while driving at highway speed. (*Id.* at p. 140.) The trial court sustained Apple's demurrer, in part due to a lack of causation, and dismissed the action. (*Id.* at p. 141.) In affirming the dismissal, the Court of Appeal accepted that the plaintiffs' alleged facts sufficiently established that Apple's design of the phone was a cause in fact of their injuries. (*Id.* at p. 153.) But, it concluded, "the tenuous connection between Apple's conduct and the [plaintiffs'] injuries bar[red] a finding of proximate causation." (*Id.* at p. 152.) It also expressed concern about the consequences of holding a cell phone company liable for producing a product that could distract a driver. (*Id.* at p. 149.) Here, as in *Modisette*, Google's design of the products is a but for cause of the alleged injury in that Plaintiff would not have access discord without the internet access provided by Google. Also as in *Modisette*, the harm that occurred in this case, namely exposure to explicit content on the internet is foreseeable. (See *id.* at p. 144.)

Here, however, the connection between the injury and Google's actions is much closer than that in *Modisette*. (*Modisette*, *supra*, 30 Cal.App.5th at p. 145 [there was not a 'close' connection between Apple's conduct and the Modisettes' injuries"]; *id.* at p. 146 ["Apple's design of the iPhone did not put the danger in play."].) Here, the Complaint alleges that Plaintiff was harmed by messages sent between herself and Discord user lil_pain. (See, e.g., Complaint, ¶¶ 140-142, 144.) The Complaint pleads that Plaintiff used her school-issued Chromebook and the Chrome browser to create a Discord account. (Complaint, ¶ 15.) The design defects with the products allowed Plaintiff to access Discord. (Complaint, ¶ 130.) Plaintiff's parents did not provide her with any devices that could access the internet. (Complaint, ¶ 145.) Thus, unlike in *Modisette*, Plaintiff alleges that Defendant's actions "put the danger in play." (*Modisette*, *supra*, 30 Cal.App.5th at p. 146.)

"Like breach of duty, causation also is ordinarily a question of fact ... The issue of causation may be decided as a question of law only if, under undisputed facts, there is no room for a reasonable difference of opinion." (*Kurini v. Hanna & Morton* (1997) 55 Cal.App.4th

853, 864; see also *Capolungo v. Bondi* (1986) 179 Cal.App.3d 346, 354 [“the issue of proximate cause ordinarily presents a question of fact. However, it becomes a question of law when the facts of the case permit only one reasonable conclusion.”].) Here, the issue of causation is better left to a trier of fact as Defendant has not shown that causation fails as a matter of law. Accordingly, for the purposes of this demurrer, Defendant’s causation argument is rejected.

iii. Failure to Warn

Defendant contends that the second cause of action for strict liability failure to warn and the fourth cause of action for negligent failure to warn fail to state a claim. “When a plaintiff asserts a product liability case based on failure to warn, the plaintiff must prove (1) the manufacturer knew, or should have known of the risk inherent in the product; (2) there were no warnings or instructions, or those provided were inadequate; (3) the absence of warnings made the product inherently dangerous; (4) the absence of adequate warnings or instructions was the proximate cause of plaintiff’s injury. [Citation.]” (*In re Fuel Industry Climate Cases* (2026) 117 Cal.App.5th 882, 893.)

“To succeed on a negligent failure-to-warn claim, the plaintiff has the burden to prove that ‘a reasonably prudent manufacturer would have known and warned about’ the risk. [Citation.] To succeed on a strict liability failure-to-warn claim, the plaintiff need only prove that the manufacturer ‘did not adequately warn of a particular risk that was known or knowable in light of the generally recognized and prevailing best scientific and medical knowledge available at the time of manufacture and distribution.’ [Citation.] Whether asserting a negligent or a strict liability failure-to-warn claim, the plaintiff must also establish that the manufacturer’s failure to warn ‘[was] a substantial factor in causing [the plaintiff’s] injury.’ [Citations.]” (*Himes v. Somatics, LLC* (2024) 16 Cal.5th 209, 222-223.)

Defendant argues that it was the school district that modified Plaintiff’s laptop, thereby allowing access to Discord and that Discord is known to be dangerous, therefore, Defendant had no duty to warn. As to the first contention, Defendant relies on Exhibit A to its request for judicial notice, namely a complaint filed by Plaintiff in Kern County involving the school district. There, Plaintiff alleges that the school district encouraged the use of Discord. (See Defendant’s Request for Judicial Notice, Ex. A, ¶¶ 13-15.) But, the portion of the Kern County complaint Defendant relies on does not indicate that the school district modified Plaintiff’s laptop to allow access to Discord, it only states that the district encouraged the use of Discord.

Defendant also asserts that Discord is known to be a dangerous platform and, therefore it had no duty to warn of its dangers. The Complaint pleads that “Discord has a reputation for enabling online predation of children, including coercing them to produce sexual and self-harm content.” (Complaint, ¶ 15.) “There is no duty to warn of known risks or obvious dangers.” (*Chavez v. Glock, Inc.* (2012) 207 Cal.App.4th 1283, 1304.) Plaintiff counters that she does not plead failure to warn of the dangers of Discord; rather, she pleads that Defendant failed to warn her parents and the school district of the dangers of its products. Plaintiff’s argument is well-taken as the Complaint pleads failure to warn of the alleged design defect, which is unfettered and unsupervised access to the internet. (See Complaint, ¶¶ 104 [“Google fails to warn about the dangers its Products pose to children like Z.G.”]; 105 [“Google also fails to warn that, even if schools purchase and fully implement all the administrator safety tools and features that

Google offers, children will still be unsafe while using its Products.”]; 108-109 [Google failed to warn parents about the dangerousness of its products].)

The demurrer is OVERRULED as to the second cause of action for strict liability failure to warn and the fourth cause of action for negligent failure to warn.

3. Conclusion

The demurrer is OVERRULED in its entirety.

XVI. PRO HAC VICE APPLICATION

Plaintiff seeks pro hac vice admission for her counsel Julie U. Liddell.

A. Legal Background

A person who is not a licensee of the State Bar of California but who is an attorney in good standing of and eligible to practice before the bar of any United States court or the highest court in any state, territory, or insular possession of the United States, and who has been retained to appear in a particular cause pending in a court of this state, may in the discretion of such court be permitted upon written application to appear as counsel *pro hac vice*, provided that an active licensee of the State Bar of California is associated as attorney of record. No person is eligible to appear as counsel *pro hac vice* under this rule if the person is:

- (1) A resident of the State of California;
- (2) Regularly employed in the State of California; or
- (3) Regularly engaged in substantial business, professional, or other activities in the State of California.

(Cal. Rules of Court, rule 9.40(a).)

A person desiring to appear as counsel *pro hac vice* in a superior court must file with the court a verified application together with proof of service by mail in accordance with Code of Civil Procedure section 1013a of a copy of the application and of the notice of hearing of the application on all parties who have appeared in the cause and on the State Bar of California at its San Francisco office. The notice of hearing must be given at the time prescribed in Code of Civil Procedure section 1005 unless the court has prescribed a shorter period.

(Cal. Rules of Court, rule 9.40(c)(1).)

The application must state:

- (1) The applicant’s residence and office address;
- (2) The courts to which the applicant has been admitted to practice and the dates of admission;

- (3) That the applicant is a member in good standing in those courts;
- (4) That the applicant is not currently suspended or disbarred in any court;
- (5) The title of court and cause in which the applicant has filed an application to appear as counsel *pro hac vice* in this state in the preceding two years, the date of each application, and whether or not it was granted; and
- (6) The name, address, and telephone number of the active licensee of the State Bar of California who is attorney of record.

(Cal. Rules of Court, rule 9.40(d).)

B. Merits of the Motion

Counsel's declaration provides all of the required information described above. Plaintiff's application to have Julie Liddell admitted pro hac vice is GRANTED.

XVII. CONCLUSION

Defendant's demurrer is OVERRULED in its entirety. Plaintiff's application to have Julie Liddell admitted pro hac vice is GRANTED.

The Court will prepare the order.

- oo0oo0 -

- oo0oo -

- 00000 -

Calendar Line 7

Case Name: *Veronica Silva v. Reyes Coca-Cola Bottling, L.L.C., et al.*
Case No.: 25CV479934

This is a class action arising from defendant Reyes Coca-Cola Bottling L.L.C.'s alleged wage and hour violations.

Before the Court is Defendant's motion to compel arbitration, dismiss class claims, and stay civil proceedings, which is opposed. As discussed below, the Court GRANTS Defendant's motion to compel arbitration, DISMISSES Plaintiff's class claims, and STAYS this action pending the outcome of the arbitration.

XVIII. BACKGROUND

According to the allegations of the operative complaint ("Complaint"), Plaintiff worked for Defendants from March 7, 2022 through September 12, 2025. (Complaint, ¶ 20.) She performed various duties, including, among other things, conducting store visits, building product displays, ensuring product placement and compliance, maintaining customer relationships, and performing sales and merchandising tasks. (*Ibid.*) Defendants failed to: pay wages, including minimum and overtime wages; provide meal and/or rest periods or compensation in lieu thereof; timely pay wages during employment; provide compliant wage statements; timely pay wages due upon separation; reimburse for necessary business expenses.

On November 12, 2025, Plaintiff initiated this action with the filing of the Complaint, which asserts the following causes of action: (1) Violation of Cal. Labor Code §§ 1194, 1197, and 1197.1 (Minimum Wages) and Cal. Code of Regulations, Title 8, § 11040 (Split Shift Premiums); (2) Violation of Cal. Labor Code §§ 510 and 1198 (Unpaid Overtime); (3) Violation of Cal. Labor Code §§ 226.7 and 512(a) (Meal Break Violations); (4) Violation of Cal. Labor Code § 226.7 (Rest Break Violations); (5) Violation of Cal. Labor Code §§ 204 and 210 (Wages Not Timely Paid During Employment); (6) Violation of Cal. Labor Code § 226(a) (Wage Statement Violations); (7) Violation of Cal. Labor Code §§ 201, 202, and 203 (Untimely Final Wages); (8) Violation of Cal. Labor Code §§ 2800 and 2802 (Failure to Reimburse Necessary Business Expenses); and (9) Violation of Cal. Business & Professions Code §§ 17200, et seq.

XIX. REQUESTS FOR JUDICIAL NOTICE

A. Defendant's Request

Defendant requests judicial notice of the JAMS Employment Arbitration Rules and Procedures: Exhibit A.

Evidence Code section 452, subdivision (h), permits the Court to take judicial notice of items that are "not reasonably subject to dispute and are capable of immediate and accurate determination by resort to sources of reasonably indisputable accuracy." (Evid. Code ¶ 452, subd. (h).) Thus, the Court will take judicial notice of the JAMS Rules and Procedures.

Defendant's request for judicial notice is GRANTED.

B. Plaintiff's Request

Plaintiff requests judicial notice of the following items from *Rigsby, et al. v. Reyes Coca-Cola Bottling LLC, et al (Rigsby)*, filed in the Superior Court of Sacramento County::

- (1) Class Action Complaint filed on October 24, 2023: Exhibit A;
- (2) Second Amended Class Action and PAGA Complaint, filed on March 3, 2025: Exhibit B;
- (3) The memorandum of points and authorities in support of Plaintiffs' motion for preliminary approval, filed on May 16, 2025: Exhibit C;
- (4) Declaration of Erik Dos Santos in support of the preliminary approval motion, filed on May 16, 2025: Exhibit D;
- (5) The notice of motion for final approval of class action settlement, filed on November 20, 2025: Exhibit E;
- (6) The memorandum of points and authorities in support of Plaintiffs' motion for final approval, filed on November 20, 2025: Exhibit F;
- (7) Declaration of Erik Dos Santos in support of the final approval motion, filed on November 20, 2025: Exhibit G;
- (8) Declaration of David D. Bibiyan in support of the final approval motion, filed on November 20, 2025: Exhibit H;
- (9) Declaration of Jose Garay in support of the final approval motion, filed on November 20, 2025: Exhibit I;
- (10) Declaration of Marcus J. Bradley in support of the final approval motion, filed on November 20, 2025: Exhibit J;
- (11) Declaration of Tarus Dancy of CPT Group, Inc. in support of the final approval motion, filed on November 20, 2025: Exhibit K;
- (12) The notice of minute order and order granting Plaintiffs' motion for final approval, filed December 19, 2025: Exhibit L;
- (13) The order granting final approval of class action and PAGA settlement, filed December 12, 2025: Exhibit M.

Evidence Code section 452, subdivision (d), permits judicial notice of records of any court of this state or any court of record of the United States or of any state of the United States. (Code Civ. Proc., § 452, subd. (d).) The above items are court records, therefore they are proper items of judicial notice. Thus, the Court takes judicial notice of the existence of the documents and the legal effect of the court orders but does not take notice of the truth of any disputed contents. (*Oh v. Teachers Ins. & Annuity Assn. of America* (2020) 53 Cal.App.5th 71, 79-81 (*Oh*).) Accordingly, Plaintiff's request for judicial notice is GRANTED.

C. Defendant's Supplemental Request

Defendant requests judicial notice of the following items from *Rigsby*:

- (1) The Order granting final approval, filed on December 12, 2025: Exhibit A; and
- (2) Register of Actions, accessed on August 12, 2026: Exhibit B.

Defendant's supplemental request for judicial notice is GRANTED.

XX. DEFENDANT’S EVIDENTIARY OBJECTIONS

Defendant submits evidentiary objections to Plaintiff’s declaration in support of her opposition.

Defendant’s objections are OVERRULED.

XXI. DEFENDANT’S MOTION TO COMPEL ARBITRATION

Defendant moves for an order compelling arbitration and staying proceedings pursuant to the arbitration agreement (the “Agreement”).

A. Legal Standard

In ruling on a motion to compel arbitration, the Court must inquire as to (1) whether there is a valid agreement to arbitrate, and (2) if so, whether the scope of the agreement covers the claims alleged. (See *Howsan v. Dean Witter Reynolds* (2002) 537 U.S. 79, 84.) “Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate. [Citations.] The threshold question requires a response because if such an agreement exists, then the court is statutorily required to order the matter to arbitration.” (*Fleming v. Oliphant Financial, LLC* (2023) 88 Cal.App.5th 13, 19, internal quotation marks omitted.) The agreements at issue expressly provide that they are governed by the Federal Arbitration Act.

“The FAA [Federal Arbitration Act], which includes both procedural and substantive provisions, governs [arbitration] agreements involving interstate commerce.” (*Avila v. Southern California Specialty Care, Inc.* (2018) 20 Cal.App.5th 835, 840.) However, “[t]he procedural aspects of the FAA do not apply in state court absent an express provision in the arbitration agreement.” (*Ibid.*) Where the Agreement expressly provides that it “shall be interpreted and enforced in accordance with the [FAA],” federal procedural and substantive law apply. (See *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122 [“[t]he phrase ‘pursuant to the FAA’ is broad and unconditional,” and unambiguously adopts both the procedural and substantive aspects of the FAA].)

Under the FAA, the Court must grant a motion to compel arbitration if any suit is brought upon “any issue referable to arbitration under an agreement for such arbitration” (9 U.S.C. § 3), subject to “such grounds as exist at law or in equity for the revocation of any contract...” (9 U.S.C. § 2). The moving party must prove by a preponderance of evidence the existence of the arbitration agreement and that the dispute is covered by the agreement. (See *Cruise v. Kroger Co.* (2015) 233 Cal.App.4th 390, 396 [under both federal and state law, “the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate”]; *Rosenthal v. Great Western Fin’l Securities Corp.* (1996) 14 Cal.4th 394, 413 (*Rosenthal*) [moving party’s burden is a preponderance of evidence].) The burden then shifts to the resisting party to prove a ground for denial. (*Rosenthal, supra*, 14 Cal.4th at p. 413.)

“In determining the rights of parties to enforce an arbitration agreement within the FAA’s scope, courts apply state contract law while giving due regard to the federal policy

favoring arbitration.” (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236 (*Pinnacle*).)

But the FAA’s policy favoring arbitration ... is merely an acknowledgment of the FAA’s commitment to overrule the judiciary’s longstanding refusal to enforce agreements to arbitrate and to place such agreements upon the same footing as other contracts. Or in another formulation: The policy is to make arbitration agreements as enforceable as other contracts, but not more so. Accordingly, a court must hold a party to its arbitration contract just as the court would to any other kind. (*Morgan v. Sundance, Inc.* (2022) 596 U.S. 411 (*Morgan*), internal citations and quotation marks omitted.)

On a motion to compel arbitration under the CAA, “[t]he party seeking arbitration bears the burden of proving the existence of an arbitration agreement, and the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (*Pinnacle, supra*, 55 Cal.4th at p. 236.)

B. Discussion

Defendant argues there is a valid arbitration agreement and requests for a stay pending arbitration.

1. Waiver of Right to Compel Arbitration

As a threshold matter, Plaintiff argues that Defendant waived its right to compel arbitration because it settled the same class and PAGA claims in *Rigsby*. The *Rigsby* matter is a class and representative PAGA action, which was initiated on August 2, 2021 in Sacramento County Superior Court. It involved the same wage and hour claims that Plaintiff asserts against Defendant in the instant action. On December 12, 2025, the court granted final approval of the class and PAGA settlement in *Rigsby* and it entered judgment. It is undisputed that Plaintiff is a class member who is covered by the *Rigsby* settlement and as a result, she released all of her claims until September 9, 2024. (Declaration of Sage Stone (“Stone Decl.”), ¶ 2.) Plaintiff ended her employment with Defendant on September 12, 2025. (Declaration of Mia Wilson (“Wilson Decl.”), ¶ 4.)⁷

“[W]here the FAA applies, whether a party has waived a right to arbitrate is a matter of federal, not state, law.” (*Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956, 963 (*Davis*).) However, “the test for determining waiver of the right to arbitrate is the same under the FAA and the [California Arbitration Act].” (*Zamora v. Lehman* (2010) 186 Cal.App.4th 1, 11.) The leading California case discussing waiver, *St. Agnes Medical Center v. PacificCare of California* (2003) 31 Cal.4th 1187 (*St. Agnes*), adopted a set of factors from the Tenth Circuit opinion in *Peterson v. Shearson/American Express, Inc.* (10th Cir. 1988) 849 F.2d 464. Both federal and California law “reflect[] a strong policy favoring arbitration agreements and require[] close judicial scrutiny of waiver claims.” (*St. Agnes, supra*, 31 Cal.4th at p. 1195.) “[W]aivers are not to be lightly inferred and the party seeking to establish a waiver bears a heavy burden of proof.” (*Ibid.*)

⁷ Wilson is a Human Resources Director for Defendant.

Under the *St. Agnes* test, the following factors are relevant in deciding whether a party's conduct constitutes a waiver of arbitration:

(1) whether the party's actions are inconsistent with the right to arbitrate; (2) whether the litigation machinery has been substantially invoked and the parties were well into preparation of a lawsuit before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place; and [formerly] (6) whether the delay affected, misled, or prejudiced the opposing party.

(*St. Agnes*, *supra*, 31 Cal.4th at pp. 1195–1196 [internal quotations omitted].)

The sixth factor regarding prejudice is based on federal cases that “applied an arbitration-specific rule that required a showing of prejudice to establish waiver.” (*Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 569 (*Quach*).) In its 2022 *Morgan* decision, “the United States Supreme Court rejected this rule.” (*Quach*, 16 Cal.5th at p. 569.)

Morgan clarified that the federal “policy favoring arbitration” is about putting arbitration agreements on equal footing with other contracts, not about favoring arbitration. ([*Morgan*, *supra*, 596 U.S. at p. 418].) Accordingly, the Supreme Court held that, under federal law, a court must apply the same rules that apply to any other contract when determining whether a party to an arbitration agreement has lost the right to enforce the agreement. (*Ibid.*)

Because our state law arbitration-specific prejudice requirement is based upon the federal precedent that *Morgan* overruled, we now abrogate it. California policy, like federal policy, puts arbitration agreements on equal footing with other types of contracts. Accordingly, under California law, as under federal law, a court should apply the same principles that apply to other contracts to determine whether the party seeking to enforce an arbitration agreement has waived its right to do so. (*Ibid.*)

“To establish waiver, there is no requirement that the party opposing enforcement of the contractual right demonstrate prejudice or otherwise show harm from the waiving party's conduct.” (*Id.* at p. 585.) The multifactor test is not “a mechanical process in which each factor is assessed and the side with the greater number of favorable factors prevails,” nor is the list of factors exclusive: rather, the factors reflect the principles that should guide courts in determining whether a party has waived its right to demand arbitration. (*Zamora*, *supra*, 186 Cal.App.4th at p. 15, internal quotation marks and citation omitted.) “The waiver inquiry is exclusively focused on the waiving party's conduct; neither the effect of that conduct on the party seeking to avoid enforcement nor that party's subjective evaluation of the waiving party's intent is relevant.” (*Quach*, *supra*, 16 Cal.5th at p. 585.)

California case law makes it clear that a waiver of arbitration is not lightly inferred, and the party seeking to establish a waiver bears a heavy burden of proof. (*St. Agnes*, *supra*, 31 Cal.4th at p. 1195; see also *Fleming Distribution Co. v. Younan* (2020) 49 Cal.App.5th 73, 80 (*Fleming*).) The Court will resolve any doubts as to whether a party's conduct constitutes a

waiver in favor of finding no waiver. (*Franco v. Arakelian Enterprises, Inc.* (2015) 234 Cal.App.4th 947, 958 (*Franco*).)

Plaintiff argues that Defendant demonstrated its intent to waive its right to arbitrate by settling the *Rigsby* action and obtaining a class wide release without any carve out for signatories to an arbitration agreement such a Plaintiff. (Opp., pp. 6:1-3.) She further argues that Defendant was “not unaware” that a significant portion of the class in *Rigsby* were signatories to the arbitration agreement. (Opp., p. 6:3-5.) Plaintiff fails to address any of the other *St. Agnes* factors. Here, Plaintiff initiated this action on November 12, 2025 and Defendant filed the instant motion on January 30, 2026. Thus, it does not appear that the parties are well into preparation of this lawsuit before Defendant demonstrated an intent to arbitrate. A trial date is not set for this matter; Defendant has not filed a counterclaim; there is no evidence that important intervening steps have been taken. Thus, the *St. Agnes* factors do not support a finding of waiver here.

Plaintiff relies heavily on *Sierra Pacific Industries Wage & Hour Cases* (2025) 116 Cal.App.5th 1038 (*Sierra Pacific*), in which the plaintiff, a former employee of the defendant brought a class action for wage and hour violations in October 2018. (*Id.* at p. 1042.) The defendant “defended the action in the trial court for years, remaining silent on the subject of arbitration and refusing to produce arbitration agreements signed by putative class members despite being ordered to do so.” (*Id.* at pp. 1042-1043.) After eight plaintiff classes were certified more than four years into the litigation, the defendant produced more than 3,000 signed arbitration agreements and then immediately moved to compel arbitration. (*Id.* at p. 1043.) The appellate court affirmed the trial court’s conclusion and it reasoned that,

The undisputed record of trial court proceedings demonstrate that Sierra Pacific’s “words and conduct were markedly inconsistent with an intent to arbitrate...Sierra Pacific spent years litigating this case in the trial court. For much of that time Sierra Pacific actively resisted plaintiffs’ efforts to discover the extent to which putative class members might be subject to arbitration. Sierra Pacific refused for years to identify signatory employees or produce signed arbitration agreements, going so far as to defy the trial court’s February 2020 order. That conduct was obviously inconsistent with an intent to arbitrate, as even Sierra Pacific appears to have recognized.

...

Though Sierra Pacific couched its refusal in terms of privacy concerns, the company made no effort to address those concerns through appropriate avenues, such as a protective order limiting precertification discovery to exclude signatory employees. Instead, Sierra Pacific participated in extensive class discovery—both responding and propounding—all while saying nothing about any intent to arbitrate. And Sierra Pacific went beyond merely keeping quiet. Sierra Pacific repeatedly implied the signatory employees were part of the putative class(es), whose claims were to be litigated, rather than arbitrated.

As previously discussed, Sierra Pacific participated in significant class discovery involving the signatory employees while refusing to identify them as such. Sierra Pacific included records and information for 642 signatory employees in discovery responses pertaining to a putative class of 1,388, without differentiating between signatories and nonsignatories, or giving

plaintiffs the information necessary to do so. This signaled that Sierra Pacific was not planning to enforce the arbitration agreements. That signal was amplified by Sierra Pacific's participation in the first of two separate mediations that would have resolved the claims of signatory employees, and its representations to the trial court and signatory employees asked to provide declarations. And the signal would have grown louder—unmistakably so—when Sierra Pacific deleted arbitration from the long list of affirmative defenses in its answer to plaintiffs' second amended complaint. Applying our independent judgment and considering the totality of the circumstances, we conclude the undisputed record of trial court proceedings contains clear and convincing evidence that Sierra Pacific intentionally waived the right to compel arbitration.

(*Id.* at pp. 1053-1055.)

The facts in the instant action are clearly distinguishable from those in *Sierra Pacific* which was one proceeding where defendant negotiated a classwide settlement and then tried to compel arbitration. Here, there are two separate proceedings, in two separate trial courts, involving different named plaintiffs—including one where the named plaintiff waived arbitration. Plaintiff fails to provide any authority which extends the holding in *Sierra Pacific* to separate cases with the aforementioned differences. Moreover, in *Sierra Pacific*, the waiver reached the same claims that were being litigated on a classwide basis, whereas here, Plaintiff's claims outside of the *Rigsby* class period could not have been addressed in *Rigsby*. Furthermore, Plaintiff was an absent class member in the *Rigsby* action, which settled prior to class certification, thus, Defendant could not have compelled arbitration in that action. Thus, Plaintiff's reliance on *Sierra Pacific* is unavailing. Where there are any doubts as to whether a party's conduct constitutes a waiver, the Court will resolve them in favor of finding no waiver. (*Franco, supra*, 234 Cal.App.4th at p. 958.)

Based on the foregoing, Plaintiff fails to establish, by clear and convincing evidence, that Defendant waived its right to arbitrate.

2. Existence of an Agreement

As one Court of Appeal summarized, [T]he moving party bears the burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (*Rosenthal, supra*, 14 Cal.4th at p. 413.) The moving party “can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature.” (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541, 543–544 [279 Cal. Rptr. 3d 112] (*Bannister*).) Alternatively, the moving party can meet its burden by setting forth the agreement's provisions in the motion. (*Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215, 219 [105 Cal. Rptr. 2d 597] (*Condee*); see also Cal. Rules of Court, rule 3.1330 [“The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.”].) For this step, “it is not necessary to follow the normal procedures of document authentication.” (*Condee*, at p. 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence

of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion.
(*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.)

Defendant provides Wilson’s declaration, in which she states that Plaintiff was hired on March 7, 2022, as a Sales Account Manager and remained in the position until her termination on September 12, 2025. (Wilson Decl., ¶ 4.) During the onboarding process, she was required to review, acknowledge, and maintain compliance with Defendant’s Employment Guidelines and she accordingly did so. (Wilson Decl., ¶¶ 5-7, Exh. A.) Defendant does not have any record of Plaintiff disputing authenticity of her acceptance or signatures at any time during her employment. (Wilson Decl., ¶ 8.)

The Agreement provides,
Company and Employee agree that any employment-related legal claims or controversies (“Claims”) that Employee may have against the Company, or that the Company may have against Employee, must be resolved by arbitration instead of the courts, and the parties mutually waive their right to a trial before a judge or jury in federal or state court in favor of arbitration under this Agreement. This Agreement is intended to be both retrospective and prospective, and Claims is intended to include past, present, and future claims, including claims that may have originated or accrued prior to the signing of this Agreement. Claims that have already been filed in a court of law at the time this Agreement is signed are not subject to this Agreement. Claims include, but are not limited to, claims for wages or other compensation due; claims for breach of any contract or covenant (express or implied); tort claims; claims for harassment or discrimination (including, but not limited to, race, sex, religion, national origin, age, marital status, medical condition, handicap, disability or other protected characteristic under applicable discrimination law); claims for benefits other than those brought under the Employee Retirement Income Security Act (“ERISA”); and claims for violation of any federal, state or other governmental law, statute, regulation, ordinance or common law. This includes, but is not limited to, claims under the Age Discrimination in Employment Act, Title VII of the Civil Rights Act of 1964, the Americans with Disabilities Act, the Family and Medical Leave Act, the Fair Labor Standards Act and all comparable laws.
(Agreement, p. 1.)

Based on the foregoing, Defendant provides admissible evidence to establish that a valid agreement exists between the parties. (See *Gamboa, supra*, 72 Cal.App.5th at pp. 165–166.)

Once the party seeking arbitration meets its burden of proving the existence of an arbitration agreement, “the party opposing arbitration bears the burden of proving any defense, such as unconscionability.” (*Pinnacle, supra*, 55 Cal.4th at p. 236.) Here, Plaintiff does not dispute the existence of the Agreement, but rather she argues the Agreement is procedurally and substantively unconscionable.

3. Unconscionability

Plaintiff argues the Agreement is substantively and procedurally unconscionable.

“The general principles of unconscionability are well established. A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party.” (*OTO, LLC v. Kho* (2019) 8 Cal.5th 111, 125, [internal citation omitted] (*OTO*)). Unconscionability has both procedural and substantive elements. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 (*Armendariz*); *Jones v. Wells Fargo Bank* (2003) 112 Cal.App.4th 1527, 1539 (*Jones*)). Both must appear for a court to invalidate a contract or one of its individual terms (*Armendariz, supra*, 24 Cal.4th at p. 114; *Mercuro v. Superior Court* (2002) 96 Cal.App.4th 167, 174), but they need not be present in the same degree: “the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz, supra*, 24 Cal.4th at p. 114.) “A contract’s substantive fairness must be considered in light of any procedural unconscionability in its making.” (*Ibid.*, [internal quotations and citation omitted].) “The burden of proving unconscionability rests upon the party asserting it.” (*OTO, supra*, 8 Cal.5th at 126.)

i. Procedural Unconscionability

Procedural unconscionability focuses on the elements of oppression and surprise. (*Armendariz, supra*, 24 Cal.4th at p. 114.) “Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice,” while “[s]urprise involves the extent to which the terms of the bargain are hidden in a prolix printed form drafted by a party in a superior bargaining position.” (*Davis v. TWC Dealer Group, Inc.* (2019) 41 Cal.App.5th 662, 671, [internal citation and quotation marks omitted].)

Analyzing procedural unconscionability “begins with an inquiry into whether the contract is one of adhesion” (*Armendariz*, 24 Cal.4th at 113) i.e., one that is “standardized, generally on a preprinted form, and offered by the party with superior bargaining power ‘on a take-it-or-leave-it basis.’” (*OTO, LLC v. Kho* (2019) 8 Cal.5th 111, 126.) Arbitration agreements imposed as a condition of employment are typically deemed to be adhesive and the determinative inquiry in such a circumstance is “whether circumstances of the contract’s formation created such oppression or surprise that closer scrutiny of its overall fairness is required.” (*Id.*) “Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.” (*Pinnacle, supra*, 55 Cal.4th at p. 247.) Circumstances relevant to establishing oppression include: the amount of time the party is given to consider the agreement; the amount and type of pressure exerted on them to sign; the length of the proposed contract and the length and complexity of the challenged provision; the education and experience of the party; and whether the party’s review of the agreement was aided by an attorney. (*Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348.) In pre-hiring settings, such as the one at bar, courts must be “particularly attuned” to the danger of oppression and overreaching. (*Armendariz, supra*, at 115.)

Here, Plaintiff argues that there was an adhesion contract because Defendant was her employer and the Agreement was presented on a take-it-or-leave-it basis as a condition of employment. (Opp., p. 7:18-21.) In support, Plaintiff provides her declaration, in which she

states, she remembers being asked to sign the Agreement as part of her onboarding but she did not feel that she could negotiate any of the presented documents and she felt pressured to sign every document to start and keep her job. (Plaintiff's Declaration ("Decl."), ¶ 4.) She further states that she did not feel free to ask questions as she did not want to do anything that might put her career at risk. (*Ibid.*) She had no legal assistance in reviewing the onboarding documents and she does not recall being told by anyone that she could consult an attorney. (Plaintiff's Decl., ¶ 5.) Plaintiff does not indicate that she asked for an explanation of any documents or whether she requested a copy or more time to review.

A contract of adhesion in the employment context adds a modest amount of procedural unconscionability and, the amount of procedural unconscionability is increased with the fact of an adhesion contract is combined with other issues. (See *Nguyen v. Applied Medical Resources Corp.* (2016) 4 Cal.App.5th 232, 248.) The Court finds procedural unconscionability is present based on the requirement that Plaintiff sign the Agreement to begin employment with Defendant. However, in order to be unconscionable, there must be procedural and substantive unconscionability. (See *Armendariz, supra*, 24 Cal.4th at p. 114.)⁸

ii. Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create "overly harsh" or "one-sided results", (*Armendariz, supra*, 24 Cal.4th at p. 114, internal citation and quotations omitted), that is, whether they reallocate risks in an objectively unreasonable or unexpected manner. (*Jones, supra*, 112 Cal.App.4th at p. 1539). "In assessing substantive unconscionability, the paramount consideration is mutuality." (*Pinela v. Neiman Marcus Group, Inc.* (2015) 238 Cal.App.4th 227, 241 [internal citation and quotation marks omitted].) Arbitration agreements are substantively unconscionable where they lack a "modicum of bilaterality," "without at least some reasonable justification for such one-sidedness based on 'business realities.'" (*Armendariz, supra*, 24 Cal.4th at p. 117.)

"Substantive unconscionability examines the fairness of a contract's terms. This analysis ensures that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as overly harsh, unduly oppressive, so one-sided as to shock the conscience, or unfairly one-sided. All of these formulations point to the central idea that the unconscionability doctrine is concerned not with a simple old-fashioned bad bargain, but with terms that are unreasonably favorable to the more powerful party." (*OTO, supra*, 8 Cal.5th at pp. 129-130, internal citation and quotations omitted.)

Plaintiff argues the Agreement is substantively unconscionable the injunctive relief provision lacks mutuality; it includes sexual harassment claims in violation of the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Action of 2021 ("EFAA"); violates provisions of the EFAA by requiring Defendant's agreement for joining the arbitrable and inarbitrable claims; and the Code of Civil Procedure section 1281.2, subdivision (c) carve out is unconscionable. Plaintiff further argues that severance is not appropriate.

⁸ As explained below, the Court does not find any substantive unconscionability, thus, it declines to address Plaintiff's remaining arguments as to procedural unconscionability because a potential increase in the amount of procedural unconscionability would not be sufficient to establish that the Agreement is unconscionable.

a. Injunctive Relief

Plaintiff argues that the injunctive relief provision lacks mutuality. She further argues Defendant is more likely to seek injunctive relief and by permitting injunctive relief to be brought in court, Defendant gets the benefit of the judicial forum for its claims while forcing her to arbitrate her claims. (Opp., p. 11:11-18.) In reply, Defendant argues that Plaintiff fails to provide any evidence that it is more likely than her to seek injunctive relief. (Reply, p. 8:17-18.)

The Agreement, provides, “[i]n addition, this Agreement does not preclude either Employee or the Company from seeking injunctive relief in a court of law in accordance with applicable law. However, after the Court has issued a ruling concerning the injunctive relief, Employee and the Company are required to submit the dispute to arbitration pursuant to this Agreement.”

Code of Civil Procedure section 1281.8, provides, “[a] party to an arbitration agreement may file in the court in the county in which an arbitration proceeding is pending, or if an arbitration proceeding has not commenced, in any proper court, an application for a provision remedy, in connection with an arbitrable controversy, but only upon the ground that the award to which the applicant may be entitled may be rendered ineffectual without provisional relief.” (Code Civ. Proc., § 1281.8, subd. (b).)

Plaintiff reliance on *Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227 (*Carbajal*) is unavailing because the provision in *Carbajal* required the plaintiff to arbitrate “any and all disputes” with the defendant while allowing the defendant to “obtain an injunction from a court of competent jurisdiction.” (*Id.* at p. 249.) Thus, the provision was expressly one-sided. Whereas, here, the provision explicitly allows both parties to seek injunctive relief. Therefore, Plaintiff is not precluded from seeking injunctive relief. Consequently, the provision is not substantively unconscionable.

b. Sexual Harassment Claims in Violation of the EFAA

Plaintiff argues the Agreement is substantively unconscionable because the definition of arbitrable claims includes claims for harassment or discrimination on the basis of sex in violation of the EFAA. (Opp., p. 11:22-25.)

The Agreement, provides, “[C]laims include, but are not limited to, claims for wages or other compensation due; claims for breach of any contract or covenant (express or implied); tort claims; claims for harassment or discrimination (including, but not limited to, race, sex, religion, national origin, age, marital status, medical condition, handicap, disability or other protected characteristic under applicable discrimination law); claims for benefits other than those brought under the Employee Retirement Income Security Act (“ERISA”); and claims for violation of any federal, state or other governmental law, statute, regulation, ordinance or common law.” (Agreement, p. 1.)

It further provides, “[t]his Agreement does not apply to any claims that cannot be arbitrated as a matter of law. If the Company or Employee pursue Claims subject to this Agreement and claims that are excluded from this Agreement then Claims subject to this Agreement must be arbitrated and claims that are not subject to this Agreement must be

litigated in court. In no event will Claims subject to this Agreement be joined with claims not subject to this Agreement and litigated in this court unless the Company and Employee both agree.” (*Ibid.*)

“[T]he EFAA states a categorical rule of unenforceability[.]” (*Casey v. Superior Court* (2025) 108 Cal.App.5th 575, 586 (*Casey*)). “The EFAA, a relatively new statute enacted in 2022, provides that a ‘person alleging conduct constituting a sexual harassment dispute’ may elect that ‘no predispute arbitration agreement ... shall be valid or enforceable with respect to a case which is filed under Federal, Tribal, or State law that relates to the ... sexual harassment dispute.’” (*Id.* at p. 582.) “A ‘sexual harassment dispute’ is defined as ‘a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribal, or State law.’ ... There is no California statutory counterpart to the EFAA.” (*Ibid.*) Whether the EFAA applies is a pure question of law. (*Id.* at 583.)

Here, Plaintiff admits that she does not present sexual harassment or sexual assault related claims but asserts that is not relevant because the contract itself is unenforceable due to its unconscionability. The Court is not persuaded, as Plaintiff does not provide any authority wherein a court has invalidated an arbitration agreement for violating the EFAA in similar circumstances. Moreover, most of the decisions Plaintiff does cite in support do not address the impact of the EFAA in any way.

The only case Plaintiff cites in support of this argument, which implicates the EFAA is *Decloedt v. Radnet Management, Inc.* (2026) 121 Cal.App.5th 732 (*Decloedt*), which involved an appeal of an order denying defendant’s motion to compel arbitration. (*Id.* at p. 737.) The plaintiff asserted 11 causes of action against the defendants, including for sexual harassment under the Fair Employment and Housing Act (“FEHA”). (*Ibid.*) (*Id.* at pp. 741-742.) The trial court denied the motion based on the EFAA, which applies to “a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribunal, or State law.” (See 9 U.S.C. §§ 401, subd. (4), 402, subd. (a).) The appellate court found that the plaintiff sufficiently alleged a sexual harassment claim under FEHA and thus, it affirmed the trial court’s denial of the motion compel arbitration. (*Id.* at p. 737.) The instant matter is distinguishable because Plaintiff does not assert a claim for sexual harassment. Plaintiff’s reliance on *Decloedt* is without merit because it did not address whether the EFAA could apply where the plaintiff did not assert a claim for sexual harassment. Additionally, the Court is unaware of any authority that has permitted a plaintiff to invoke the EFAA to avoid arbitration where they do not assert a claim for sexual harassment. Thus, the Court does not find substantive unconscionability on this basis.

Next, Plaintiff argues the Agreement violates provisions of the EFAA by requiring Defendant’s agreement for joining of arbitrable and inarbitrable claims.

Plaintiff relies on *Liu v. Miniso Depot CA, Inc.* (2024) 105 Cal.App.5th 791 (*Liu*), *Doe v. Second Street Corp.* (2024) 105 Cal.App.5th 552 (*Doe*), and *Casey, supra*, 105 Cal.App.5th 552 for the proposition that the EFAA renders arbitration agreements unenforceable as to the entire case. However, as with *Decloedt, supra*, each of the cases Plaintiff relies on involved case where at least one claim fit within the scope of the EFAA. (See *Liu, supra*, 105 Cal.App.5th at p. 803 [“under the FAA, Liu may not be compelled to arbitrate any of her claims because [her complaint] contains claims premised on conduct that is alleged to constitute sexual harassment under state law]; *Doe, supra*, 105 Cal.App.5th at p. 577

[concluding that arbitration agreement is unenforceable as to each cause of action alleged in the plaintiff's FAC because the case unquestionably related to the sexual harassment dispute and arise out of the plaintiff's employment by the hotel]; *Casey, supra*, 105 Cal.App.5th at p. 588 [stating "where a plaintiff's lawsuit contains at least one claim that fits within the scope of the EFAA, [the agreement] is unenforceable as to all claims asserted in the lawsuit"].) Thus, Plaintiff's reliance on these cases is unavailing. Moreover, as explained above, the Court does not find that any of Plaintiff's claims fall within the scope of the EFAA. Accordingly, the Court cannot find unconscionability based on the EFAA.

c. Code of Civil Procedure section 1281.2, subd. (c)

Lastly, Plaintiff argues the carve-out pursuant to Code of Civil Procedure section 1281.2 ("Section 1281.2"), subdivision (c), is unconscionable.

Code of Civil Procedure section 1281.2, subdivision (c) provides:

On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that:

...

(c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact. For purposes of this section, a pending court action or special proceeding includes an action or proceeding initiated by the party refusing to arbitrate after the petition to compel arbitration has been filed, but on or before the date of the hearing on the petition.

(Code Civ. Proc. § 1281.2, subd. (c) [emphasis added].)

Plaintiff argues the Agreement's express waiver of the protections of Section 1281.2, subdivision (c), is unconscionable because it unfairly favors the employer and it risks inconsistent rulings on common issues of fact or law. (Opp., 14:1-14.) Plaintiff fails to cite any authority finding substantive unconscionability where an arbitration agreement excludes Section 1281.2, subdivision (c).

The Agreement provides, "[i]f any provision of this Agreement is held to be invalid or unenforceable, in whole or in part, the remaining provisions shall continue to be valid and any unenforceable or conflicting provision shall be automatically severed. However, if the Waiver of Class, Collective, and Representative Claims is found to be unenforceable, then any claim brought on a class, collective, or representative action basis must be filed in a court of competent jurisdiction, and such court shall be the exclusive forum for such claims. The Company is engaged in interstate commerce; thus, *interpretation and enforcement of this Agreement shall be governed by the Federal Arbitration Act*. Petitions to compel arbitration or to modify, confirm or vacate any award may be brought in any state court of competent jurisdiction, under either the Federal Arbitration Act or under applicable state law. *However, the parties agree that California Code of Civil Procedure Section 1281.2(c) shall not apply*. This agreement sets forth the entire agreement between the parties hereto and fully supersedes

any and all prior agreements and understandings, written or oral, between the parties hereto pertaining to the subject matter hereof.” (Agreement, p. 2 [emphasis added].)

Here, it is undisputed that the interpretation and enforcement of the Agreement is governed by the FAA. Plaintiff does not argue that Section 1281.2(c) applies to the instant matter, but rather that the waiver creates an imbalance in favor of the employer. (Opp., p. 14:14-16.) The FAA does not contain a provision analogous to Section 1281.2, subdivision (c). Thus, it cannot be used to deny the enforcement of arbitration clauses governed by the FAA. (See *Gloster v. Sonic Automotive, Inc.* (2014) 226 Cal.App.4th 438, 446.) Thus, the Court cannot find substantive unconscionability on this basis.

Based on the foregoing, the Court finds there is procedural unconscionability but it does not find any substantive unconscionability. As a result, the Court finds that the Arbitration Agreement is not unconscionable. Thus, Defendant’s motion is GRANTED.

XXII. DISMISSAL OF CLASS CLAIMS

Defendant requests dismissal of Plaintiff’s class claims.

With regard to class claims, the Agreement provides, as follows,

The Company and Employee agree that all Claims may only be brought in the party’s individual capacity, and not as a plaintiff or class member of any class, collective, or representative proceeding. No party may bring a claim on behalf of other individuals, except that if Employee is employed in the State of California, Employee retains the right to bring a claim under the California Private Attorneys General Act of 2004 in a court of competent jurisdiction for the recovery of civil penalties that are paid, in whole or in part, to the California Labor and Workforce Development Agency.

(Agreement, p. 1.)

Given the language of the class action waiver in the Agreement, it is clear that the claims asserted in this action come within the scope of the Agreement, which mandate the parties arbitrate “any employment-related legal claims or controversies the Employee may have against the Company, or that the Company may have against Employee...” (See Agreement, p. 1.) Plaintiff does not offer any arguments as to the class action waiver. Moreover, as the Court explained above, Plaintiff is unable to establish substantive unconscionability, which is necessary (along with procedural unconscionability) in order for the Court to invalidate the Agreement or any of its provisions. Accordingly, here, any class claims must be dismissed based on Plaintiff’s waiver of the right to bring such claims.

XXIII. REQUEST TO STAY

Defendant requests the Court stay this action pending the completion of arbitration.

Code Civ. Proc., § 1281.4, provides, “If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until

such earlier time as the court specifies. . . .” 9 U.S.C. § 3, provides, “If any suit or proceeding be brought in any of the courts of the United States upon any issue referable to arbitration under an agreement in writing for such arbitration, the court in which such suit is pending, upon being satisfied that the issue involved in such suit or proceeding is referable to arbitration under such an agreement, shall on application of one of the parties stay the trial of the action”

Based on the foregoing, a stay of these proceedings is proper under Code of Civil Procedure § 1281.4 and 9 U.S.C. § 3. Accordingly, the action is stayed in its entirety pending the outcome of arbitration.

XXIV. CONCLUSION

Defendant’s motion to compel arbitration is GRANTED, Plaintiff’s class claims are dismissed, and the matter is STAYED pending the outcome of the arbitration.

The Court will prepare the order.

- oo0oo -

- oo0oo -

Calendar Lines 8-9

Case Name: *Tammy Read v. Timothy Cook, et al.*

Case No.: 26CV485245 (Consolidated with 26CV497503)

This is a shareholder derivative action on behalf of Apple Inc. (“Apple”), which arises from the allegedly wrongfully refused litigation demand made by Plaintiff Tammy Read upon Apple’s Board of Directors. The action is brought against defendants Timothy Cook, Katherine Adams, Eddy Cue, Craig Federighi, Greg Joswiak, Jeff Williams, Arthur Levinson, Alex Gorsky, Andrea Jung, Monica Lozano, Ronald Sugar, Susan Wagner, and Wanda Austin (collectively with Apple, “Defendants”).⁹

Before the Court is (1) Plaintiff’s motion to file her complaint and certain exhibits under seal; and (2) Apple’s motion to seal, which are both unopposed. As discussed below, the Court GRANTS Plaintiff’s motion to seal and GRANTS Apple’s motion to seal.

I. LEGAL STANDARD

“The court may order that a record be filed under seal only if it expressly finds facts that establish: (1) There exists an overriding interest that overcomes the right of public access to the record; (2) The overriding interest supports sealing the record; (3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) The proposed sealing is narrowly tailored; and (5) No less restrictive means exist to achieve the overriding interest.” (Cal. Rules of Court, rule 2.550(d).) Pleadings, in particular, should be open to public inspection “as a general rule,” although they may be filed under seal in appropriate circumstances. (*Mercury Interactive Corp. v. Klein* (2007) 158 Cal.App.4th 60, 104, fn. 35.)

“Courts have found that, under appropriate circumstances, various statutory privileges, trade secrets, and privacy interests, when properly asserted and not waived, may constitute overriding interests.” (*In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 298, fn. 3 (*Providian*).) Confidential matters relating to the business operations of a party may be sealed where public revelation of the information would interfere with the party’s ability to effectively compete in the marketplace. (See *Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1285–1286.)

Rule 2.550 does not directly apply to “discovery motions and records filed or lodged in connection with discovery motions or proceedings.” (See Cal. Rules of Court, rule 2.550(a)(3); *H.B. Fuller Co. v. Doe* (2007) 151 Cal.App.4th 879, 892-893 (*Fuller*) [the discovery process would be impeded if a presumptive right of public access to records disclosed under protective orders and filed in connection with routine discovery motions were imposed].) Nonetheless, even in discovery proceedings, a party moving for leave to file records under seal must identify the specific information claimed to be entitled to confidentiality and the nature of the harm threatened by disclosure. (See *Fuller, supra*, 151 Cal.App.4th at p. 894.)

Where some material within a document warrants sealing, but other material does not, the document should be edited or redacted if possible, to accommodate both the moving party’s overriding interest and the strong presumption in favor of public access. (Cal. Rules of Court, rule 2.550(d)(4), (5).) In such a case, the moving party should take a line-by-line approach to the information in the document, rather than framing the issue to the court on an all-or-nothing basis. (*Providian, supra*, 96 Cal.App.4th at p. 309.)

⁹ On August 7, 2026, the Court signed the parties’ stipulation consolidating the instant action with *Hodge v. Cook, et al.* (26CV497503).

II. PLAINTIFF’S MOTION TO SEAL

Plaintiff moves for an order permitting her to file the Complaint and certain exhibits under seal. (See Complaint, ¶¶ 15, 17-19, 110-112, 114, 116-119; Exhs. D-H.)

A. Discussion

On December 6, 2024, the parties entered into a Confidentiality and Nondisclosure Agreement (the “Agreement”) related to non-privileged documents and information considered to be non-public, confidential, proprietary, and/or commercially sensitive information of Apple. (Motion, p. 1:22-26.) The Agreement requires Plaintiff to file under seal any document containing or referencing “Confidential Material,” and it designates all information derived therefrom as “Confidential Material” subject to all terms and conditions of the Agreement. (Motion, pp. 1:26-2:2.)

Here, Apple has an overriding interest that supports sealing the records and overcomes the right of public access because the Confidential Material contains Apple’s sensitive business information, which Plaintiff quotes, paraphrases, characterizes, and/or references the Agreement in the Complaint. (Motion, p. 2:24-28.) The parties entered into the Agreement after recognizing that public disclosure of the Confidential Material would put Apple at a competitive disadvantage. (Motion, p. 3:13-15.) If the Confidential Material is not sealed, there is a substantial probability that Apple’s business interest would be prejudiced because the disclosure would interfere with Apple’s ability to effectively compete and negotiate in the marketplace and it has taken steps to designate the information as confidential. (Motion, p. 3:19-23.) Plaintiff’s request is narrowly tailored to protect only the Confidential Material described herein and no less restrictive means exists to do so. (Motion, p. 3:25-26.) The proposed sealing covers only the portions of the Complaint and certain exhibits referencing the Confidential Material, affecting only portions of eleven paragraphs out of a 42-page document and five exhibits referenced within. (Motion, p. 3:26-28.) Based on the foregoing, the Court finds that the Plaintiff sufficiently establishes an overriding interest that justifies sealing this information and that the other factors set forth in rule 2.550 are satisfied. (See *Universal*, *supra*, 110 Cal.App.4th 1273 at p.1286 [confidential information relating to a party’s business operations can be sealed].)

Accordingly, Plaintiff’s motion to seal is GRANTED.

III. APPLE’S MOTION TO SEAL

Apple moves to seal portions of Plaintiff’s Complaint. (See Complaint, ¶¶ 15, 17-19, 111-112, 114, 116-117, Exhs. E, F, H.)

A. Discussion

Apple has an overriding interest that overcomes the right of access and supports sealing the proposed redactions. (Motion, p. 2: 8-9.) The information to be sealed includes sensitive and non-public Board records, as well as communications regarding the Board’s deliberations. (Motion, p. 2:15-17.) The Board’s deliberations reflect strategic business decisions regarding sensitive non-public business and legal matters, including the information considered by the Board and the Board’s rationale for strategic decisions about whether and when to investigate Plaintiff’s allegations. (Motion, p. 2:17-20.) Apple has taken measures in its regular course of business to keep the Board’s records and deliberations highly confidential. (Motion, p. 3: 5-6.) Apple limits access to this information on a need-to-know basis and maintains technical controls to prevent inadvertent disclosure. (Motion, p. 3:6-8.) Public disclosure of Apple’s highly confidential internal business information will prejudice Apple’s overriding interest. (Motion, p. 3:11-12, 17-22.) The proposed redactions are narrowly tailored and no less restrictive means exist to protect Apple’s overriding interest.

Based on the foregoing, the Court finds that Apple sufficiently establishes Apple's overriding interest that justifies sealing this information and that the other factors set forth in rule 2.550 are satisfied. (See *Universal, supra*, 110 Cal.App.4th 1273 at p.1286 [confidential information relating to a party's business operations can be sealed].)

Accordingly, Apple's motion to seal is GRANTED.

IV. CONCLUSION

V.

Plaintiff's motion to seal is GRANTED. Apple's motion to seal is GRANTED.

The Court will prepare the final order.

- 00000 -

- 00000 -

Calendar Line 10

Case Name: *Cruz v. Wellnessmart M.D., et al.*
Case No.: 24CV440175

This is a putative class and Private Attorneys General Act (“PAGA”) action. Plaintiffs Ashley Cruz and Breenea Walker (collectively, “Plaintiffs”) allege that defendant Wellnessmart M.D. committed various wage and hour violations.

Before the Court is Plaintiffs’ motion for final approval of settlement, which is unopposed. As discussed below, the Court GRANTS the motion.

XXV. BACKGROUND

According to the allegations of the operative first amended complaint (“FAC”), Defendant employed Plaintiffs as hourly-paid or non-exempt employees. (FAC, ¶ 17.) Defendant failed to, among other things: provide meal periods or compensation in lieu thereof; provide rest periods or compensation in lieu thereof; pay minimum wages; timely pay wages; and provide complete and accurate wage statements.

Based on the foregoing, Plaintiff Cruz initiated this action with the filing of the complaint on May 30, 2024 and on July 7, 2025, Plaintiffs filed their operative FAC, which asserts the following causes of action: (1) violation of Labor Code §§ 510 and 1198 (unpaid overtime); (2) violation of Labor Code §§ 226.7, 512, subdivision, (a) (unpaid meal period premiums); (3) violation of Labor Code §§ 226.7 (unpaid rest period premiums); (4) violation of Labor Code §§ 1194, 1197 (unpaid minimum wages); (5)) violation of Labor Code §§ 201 and 202 (final wages not timely paid); (6) violation of Labor Code § 226, subd. (a) (non-compliant wage statements); (7) violations of Labor Code §§ 2800 and 2802 (unreimbursed business expenses); (8) violation of Labor Code § 2698, *et seq.* (Private Attorneys General Act of 2004); and (9) violation of Business & Professions Code § 17200, *et seq.* On February 25, 2026, the Court issued its order, which granted Plaintiffs’ motion for preliminary approval of class action and PAGA settlement.

Plaintiffs now move for an order finally approving: the class action and PAGA settlement (the “Settlement”); attorneys’ fees and costs; Plaintiffs’ service awards; settlement administration costs to CPT Group, Inc. (“CPT”); and PAGA penalties.

XXVI. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

B. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235 (*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba*, *supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*).) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba*, *supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar*, *supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

C. PAGA

Labor Code section 2699, subdivision (1)(2) provides that "[t]he superior court shall review and approve any settlement of any civil action filed pursuant to" PAGA. The court's review "ensur[es] that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) Seventy-five percent of any penalties recovered under PAGA go to the Labor and Workforce Development Agency (LWDA), leaving the remaining twenty-five percent for the aggrieved employees. (*Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348, 380, overruled on other grounds by *Viking River Cruises, Inc. v. Moriana* (2022) 596 U.S. 639, 2022 U.S. LEXIS 2940.)

Similar to its review of class action settlements, the Court must "determine independently whether a PAGA settlement is fair and reasonable," to protect "the interests of the public and the LWDA in the enforcement of state labor laws." (*Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, 76–77.) It must make this assessment "in view of PAGA's purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws." (*Id.* at p. 77; see also *Haralson v. U.S. Aviation Servs. Corp.* (N.D. Cal. 2019) 383 F. Supp. 3d 959, 971 ["when a PAGA claim is settled, the relief provided for under the PAGA [should] be genuine and meaningful, consistent with the underlying purpose of the statute to benefit the public"], quoting LWDA guidance discussed in *O'Connor v. Uber Technologies, Inc.* (N.D. Cal. 2016) 201 F.Supp.3d 1110 (*O'Connor*).)

The settlement must be reasonable in light of the potential verdict value. (See *O'Connor, supra*, 201 F.Supp.3d at p. 1135 [rejecting settlement of less than one percent of the potential verdict].) But a permissible settlement may be substantially discounted, given that courts often exercise their discretion to award PAGA penalties below the statutory maximum even where a claim succeeds at trial. (See *Viceral v. Mistras Group, Inc.* (N.D. Cal., Oct. 11, 2016, No. 15-CV-02198-EMC) 2016 WL 5907869, at *8–9.)

XXVII. SETTLEMENT CLASS

All current and former hourly-paid or non-exempt employees of Defendant within the State of California at any time during the Class Period [May 30, 2020 through June 17, 2025].

Rule 3.769(d) of the California Rules of Court states that “[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing.” California Code of Civil Procedure Section 382 authorizes certification of a class “when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court”

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence: (1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*)). “Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing.” (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield “substantial benefits” to both “the litigants and to the court.” (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

At preliminary approval, the Court provisionally certified the above-described Class, and it does not find any reasons to depart from that ruling at this time. Consequently, the Court will certify the Class for settlement purposes as requested.

XXVIII. TERMS AND ADMINISTRATION OF SETTLEMENT

The non-reversionary gross settlement amount is \$400,000. Attorneys’ fees of up to \$140,000 (35% of the gross settlement amount); litigation costs of up to \$25,000; and settlement administration costs of up to \$15,000. \$25,000 will be allocated to PAGA penalties, 65% (\$16,250) of which will be paid to the LWDA, and the remaining 35% (\$8,750) will be

distributed to “Aggrieved Employees” who are defined as “all current and former hourly-paid or non-exempt employees of Defendant within the State of California at any time during the PAGA Period [June 20, 2024 through June 17, 2025].” Plaintiffs will seek class representative service awards for \$10,000 each—totaling \$20,000.

The net settlement amount—estimated to be \$185,438.24—will be allocated to Class Members. The average individual payment will be \$356.61. For tax purposes, 20% of the individual payments will be allocated to wages and 80% will be allocated to interests and penalties. Funds associated with checks uncashed after 180 days will be transmitted to the State Controller’s Office, Unclaimed Property Fund in the name of each Class Member who did not cash their check.

In exchange for settlement, Class Members who do not opt out will release:

[T]he Released Parties from the Released Claims all claims that were alleged, or could have been alleged, based on the facts contained in the Operative Complaint and that occurred during the Class Period.

Aggrieved Employees, who consistent with the statute will not be able to opt out of the PAGA portion of the settlement, will release:

[T]he Released Parties from all claims for PAGA penalties that were alleged, or could have been alleged, based on the facts contained in the Operative Complaint and written notice to the LWDA and that occurred during the PAGA Period.

The notice period has now been completed. Jennifer Forst (“Forst”), a Senior Program Manager for CPT, submitted a declaration in support of the instant motion. On March 2, 2026, Defendant delivered the Class data to CPT and on March 16, 2026, CPT mailed the Class notices to 520 Class Members. 40 Class notices were returned and CPT was able to remail 32 of them—thus, as of the date of Forst’s declaration, 8 Class notices were left undelivered.

The deadline to respond was May 15, 2026. As of the date of Forst’s declaration, CPT received 0 requests for exclusion, 0 objections, and 0 written disputes. Consequently, there are 520 participating Class members, representing approximately 100% of the Class. The average individual payment is \$356.61, with the highest being \$2,225.87.

Plaintiff requests \$10,500 for administration costs. This request is supported by Forst’s declaration. Thus, the amount is reasonable and therefore, it is approved.

At the preliminary approval, the Court found that the proposed settlement provides a fair and reasonable compromise to Plaintiffs’ claims. It finds no reason to depart from these findings now, especially considering that there are no objections. Therefore, the Court finds that the Settlement is fair and reasonable for the purposes of final approval.

XXIX. ATTORNEYS’ FEES, LITIGATION COSTS, AND PLAINTIFFS’ SERVICE AWARD

Class Counsel seeks a fee award of \$140,000 or 35% of the gross settlement amount, which is not an uncommon contingency fee in a wage and hour class action. Class Counsel provides a lodestar figure of \$174,430, based on 244.1 hours of work at billing rates ranging from \$500 to \$900 per hour, resulting in a negative multiplier of .80. This is below the range of multipliers that courts typically approve. (See *Wershba*, *supra*, 91 Cal.App.4th at p. 255 [“[m]ultipliers can range from 2 to 4 or even higher”]; *Vizcaino v. Microsoft Corp.* (9th Cir. 2002) 290 F.3d 1043, 1051, fn. 6 [stating that multipliers ranging from one to four are typical in common fund cases and citing the court’s own survey of large settlements funding a range of 0.6-19.6, with most (20 to 24, or 83%) from 1.0-4.0 and a bare majority (13 of 24, or 54%) in the 1.5-3.0 range”].)

“While the percentage method has been generally approved in common fund cases, courts have sought to ensure the percentage fee is reasonable by refining the choice of a percentage or by checking the percentage result against the lodestar-multiplier calculation.” (*Laffitte v. Robert Half Intern, Inc.* (2016) 1 Cal.5th 480, 495 (*Laffitte*).) Applying the latter approach,

[T]he percentage-based fee will typically be larger than the lodestar based fee.

Assuming that one expects rough parity between the results of the percentage method and the lodestar method, the difference between the two computed fees will be attributable solely to a multiplier that has yet to be applied. Stated another way, the ratio of the percentage-based fee to the lodestar-based fee implies a multiplier, and that implied multiplier can be evaluated for reasonableness. If the implied multiplier is reasonable, then the cross-check confirms the reasonableness of the percentage-based fee; if the implied multiplier is unreasonable, the court should revisit its assumptions.

(*Laffitte*, *supra*, 1 Cal.5th at p. 496, quoting Walker & Horwich, *The Ethical Imperative of a Lodestar Cross-check: Judicial Misgivings About “Reasonable Percentage” Fees in Common Fund Cases* (2005) 18 Geo. J. Legal Ethics 1453, 1463.) As described by the California Supreme Court, “[i]f the multiplier calculated by means of a lodestar crosscheck is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Laffitte*, *supra*, 1 Cal.5th at 505.)

Here, the multiplier sought by Class Counsel is below the range California courts typically award, and it is supported by the percentage cross-check and Class Counsel’s declaration. Thus, the Court finds Class Counsel’s requested fee award is reasonable.

Class Counsel also seeks \$19,061.76 in litigation costs, which is below the \$25,000 allowed for in the Settlement. The request is supported by Class Counsel’s declaration. This amount is reasonable and thus, it is approved.

Plaintiffs requests Class Representative Enhancement payment of \$10,000 each—totaling \$20,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit.

Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation. These “incentive awards” to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted.) Incentive awards are particularly appropriate where a plaintiff undertakes a significant reputational risk in bringing an action against an employer. (*Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29.)

Plaintiffs submitted their declarations in support of their request. Plaintiff Cruz states that she spent approximately 30 hours meeting with Class Counsel in this matter, which includes: gathering and reviewing documents; providing information regarding Class Members; speaking with other employees to gather support for her claims; providing guidance regarding other employees’ duties and responsibilities; reviewing documents; assisting Class Counsel review the answer and develop strategies for document acquisition; reviewing formal discovery; and preparing for and making herself available for settlement negotiations. (Plaintiff Cruz Declaration (“Decl.”), ¶ 5.) She considered the personal and professional risk in participating in this action. (Plaintiff Cruz Decl., ¶¶ 3, 10.)

Similarly, Plaintiff Walker states she spent approximately 20 hours meeting with Class Counsel in this matter, which includes: gathering and reviewing documents; providing information regarding Class Members; speaking with other employees to gather support for her claims; providing guidance regarding other employees’ duties and responsibilities; reviewing documents; assisting Class Counsel review the answer and develop strategies for document acquisition; reviewing formal discovery; and preparing for and making herself available for settlement negotiations. (Plaintiff Walker Declaration (“Decl.”), ¶ 5.) She considered the personal and professional risk in participating in this action. (Plaintiff Walker Decl., ¶¶ 3, 10.)

The Court finds Plaintiffs are entitled to their respective service awards and the amounts request are supported by their declarations and thus, they are reasonable. Therefore, Plaintiffs’ requests for their service awards are approved.

XXX. CONCLUSION

In accordance with the above, IT IS HEREBY ORDERED, ADJUDGED, AND DECREED THAT:

Plaintiffs’ motion for final approval is GRANTED. The following Class is certified for settlement purposes only:

All current and former hourly-paid or non-exempt employees of Defendant within the State of California at any time during the Class Period [May 30, 2020 through June 17, 2025].

Judgment will be entered through the filing of this order and judgment. (Code Civ. Proc., § 668.5.) Plaintiff and the members of the Class will take from the operative complaint only the relief set forth in the settlement agreement and this order and judgment. Pursuant to Rule 3.769(h) of the California Rules of Court, the Court will retain jurisdiction over the parties to enforce the terms of the settlement agreement and the final order and judgment.

The Court sets a compliance hearing for **May 21, 2027 at 2:30 P.M.** in Department 22. At least ten court days before the hearing, class counsel and the settlement administrator shall submit a summary accounting of the net settlement fund identifying distributions made as ordered herein; the number and value of any uncashed checks; amounts remitted pursuant to Code of Civil Procedure section 384, subdivision (b); the status of any unresolved issues; and any other matters appropriate to bring to the Court's attention. Counsel shall also submit an amended judgment as described in Code of Civil Procedure section 384, subdivision (b). Counsel may appear at the compliance hearing remotely.

- oo0oo -

- oo0oo -

Calendar Line 11

Case Name: *Norma Barragan v. Quantum Financial Group, Inc. et al.*
Case No.: 24CV450946

This action arises out of defendants Quantum Financial Group, Inc. (“Quantum”), Monroe Enterprises, Inc. (“Monroe”), and Mark Diederich (“Diederich”) (collectively, “Defendants”) purported violation of the Rosenthal Fair Debt Collection Practices Act (the “RDCPA”), Civil Code sections 1788-1788.33.¹⁰

Before the Court is the parties’ joint motion for preliminary approval of class action, which is unopposed. As discussed below, the Court GRANTS the motion.

XXXI. BACKGROUND

According to the allegations of the operative Complaint, Plaintiff Normal Angelica Barragan incurred a financial obligation in the form of a consumer credit account alleged to be owed to K.JORDAN. (Complaint, ¶ 4.) The debt was incurred by Plaintiff primarily for personal, family, or household purposes, and is therefore, a “consumer debt.” (*Ibid.*) Plaintiff was unable to pay the debt and defaulted—thus, it became “delinquent debt.” (Complaint, ¶ 15.) On a date unknown to Plaintiff, K.JORDAN hired, contracted, or otherwise engaged Defendant to collect the alleged debt from Plaintiff and the Class on K.JORDAN’S behalf. (Complaint, ¶ 16.)

Thereafter, Defendants sent a collection letter, which is dated July 24, 2024. (Complaint, ¶¶ 17-10.) The collection letter was the first written communication from Defendants to Plaintiff regarding the collection of the debt and the communication failed to provide necessary information and notice, in violation of California law. (Complaint, ¶¶ 20-24.)

On November 4, 2024, Plaintiff initiated this action with the filing of the Complaint, which asserts a single cause of action for violation of the RDCPA.

The parties now seek an order: certifying the class for settlement purposes; preliminarily approving the class action settlement (the “Settlement”); approving the form and method of the notice and establishing deadlines for distribution and responses; setting a deadline for the final approval motion; setting a final approval hearing; and staying all proceedings in this action pending final approval.

XXXII. LEGAL STANDARDS FOR SETTLEMENT APPROVAL

D. Class Action

Generally, “questions whether a [class action] settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234–235

¹⁰ Thomas Bonum is a named defendant in this action, however, he has since passed away.

(*Wershba*), disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.)

In determining whether a class settlement is fair, adequate and reasonable, the trial court should consider relevant factors, such as the strength of plaintiffs' case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the stage of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction of the class members to the proposed settlement.

(*Wershba, supra*, 91 Cal.App.4th at pp. 244–245, internal citations and quotations omitted.)

In general, the most important factor is the strength of the plaintiffs' case on the merits, balanced against the amount offered in settlement. (See *Kullar v. Foot Locker Retail, Inc.* (2008) 168 Cal.App.4th 116, 130 (*Kullar*.) But the trial court is free to engage in a balancing and weighing of relevant factors, depending on the circumstances of each case. (*Wershba, supra*, 91 Cal.App.4th at p. 245.) The trial court must examine the "proposed settlement agreement to the extent necessary to reach a reasoned judgment that the agreement is not the product of fraud or overreaching by, or collusion between, the negotiating parties, and that the settlement, taken as a whole, is fair, reasonable and adequate to all concerned." (*Ibid.*, citation and internal quotation marks omitted.) The trial court also must independently confirm that "the consideration being received for the release of the class members' claims is reasonable in light of the strengths and weaknesses of the claims and the risks of the particular litigation." (*Kullar, supra*, 168 Cal.App.4th at p. 129.) Of course, before performing its analysis the trial court must be "provided with basic information about the nature and magnitude of the claims in question and the basis for concluding that the consideration being paid for the release of those claims represents a reasonable compromise." (*Id.* at pp. 130, 133.)

XXXIII. SETTLEMENT PROCESS

On November 4, 2024, Plaintiff initiated this action. On December 20, 2024, the Court issued its order, which deemed the case complex. On May 9, 2025, Quantum filed its answer. On August 20, 2025, Plaintiff added Monroe and Diederich as Doe defendants. Diederich filed his answer on September 25, 2025 and on October 29, 2025, Monroe filed its answer.

The parties conducted discovery and decided to work to resolve the action informally. They exchanged offers between December 2025 and February 2026. On March 25, 2026, they executed the Settlement currently before the Court.

XXXIV. SETTLEMENT PROVISIONS

The Settlement states Defendant will pay a class fund of \$7,875, which will be distributed on a pro rata basis to members of the "Class," which is defined as "[a]ll persons with addresses in California to whom Defendants sent, or caused to be sent, an initial written communication in the form of Exhibit "1" [attached to Plaintiff's Class Action Complaint for Statutory Damages] in an attempt to collect a consumer debt originally owed to K.JORDAN, which were not returned as undeliverable by the U.S. Post Office during the period November 4, 2023, through the date of class certification." Defendants will pay Plaintiff \$2,000 in

statutory damages. Class Counsel will seek an award of attorneys' fees and costs not to exceed \$40,000. Plaintiff will seek a service award of \$2,000. Funds associated with checks uncashed after 90 days will be transmitted to the Katharine & George Alexander Community Law Center.

The Settlement contains the following attorney fees and costs provision:

Defendants shall pay attorneys' fees and costs to Class Counsel pursuant to California Civil Code § 1788.17, as approved by the Court. Class Counsel will seek an award of attorneys fees and costs in an amount not to exceed \$40,000, and Defendants will not oppose such request. Any application for approval of such reasonable attorneys' fees and costs will be made separately, upon noticed motion, and determined at the Final Fairness Hearing, or at the Court's discretion.

In exchange for the settlement, Class Members will release:

[A]ll claims alleging violation of California Civil Code §§ 1788.11(f) and/or 1788.14.5(e)(1) or similar or related claims or causes of action under state or federal law, arising from or relating to collection letters mailed by or on behalf of Defendants in the form attached as Exhibit "1" to Plaintiff's Class Action Complaint filed herein, which were mailed within the Class Settlement Period.

The foregoing releases are appropriately tailored to the allegations at issue. (See *Amaro v. Anaheim Arena Management, LLC* (2021) 69 Cal.App.5th 521, 537.)

XXXV. FAIRNESS OF SETTLEMENT

"The Rosenthal Act was enacted 'to prohibit debt collectors from engaging in unfair or deceptive acts or practices in the collection of consumer debts.' (§ 1788.1, subd. (b).)" (*Davidson v. Seterus, Inc.* (2018) 21 Cal.App.5th 283, 295.) It "was enacted in 1977, the same year that its federal counterpart, the [Fair Debt Collection Practices Act, or] FDCPA, was enacted." (*Ibid.*) "In addition to its other requirements and prohibitions," under a section enacted in 1999, "the Rosenthal Act generally requires debt collectors to comply with the provisions of the FDCPA. (§ 1788.17.)" (*Ibid.*) This section also incorporates the remedies of the FDCPA, including by "ma[king] class remedies available under the Rosenthal Act." (*Afewerki v. Anaya Law Group* (9th Cir. 2017) 868 F.3d 771, 778, citing section 1788.17.)

Specifically, section 1788.17 of the RFDCPA provides that "every debt collector collecting or attempting to collect a consumer debt ... shall be subject to the remedies in Section 1692k of, Title 15 of the United States Code."

That section provides:

- (a) Amount of damages. Except as otherwise provided by this section, any debt collector who fails to comply with any provision of this title [15 USCS §§ 1692 et seq.] with respect to any person is liable to such person in an amount equal to the sum of—
 - (1) any actual damage sustained by such person as a result of such failure;

(2)

(A) in the case of any action by an individual, such additional damages as the court may allow, but not exceeding \$1,000; or

(B) in the case of a class action, (i) such amount for each named plaintiff as could be recovered under subparagraph (A), and (ii) such amount as the court may allow for all other class members, without regard to a minimum individual recovery, not to exceed the lesser of \$500,000 or 1 per centum of the net worth of the debt collector; and

(3) in the case of any successful action to enforce the foregoing liability, the costs of the action, together with a reasonable attorney's fee as determined by the court. ...

Defendants provided detailed financial statements to Plaintiff subject to a protective order. Plaintiff argues that the settlement is fair and reasonable to the class in light of these circumstances, and in consideration of the risks of taking the case to trial—particularly those raised by Defendants' "*bona fide* error" affirmative defense. Here, the Settlement will provide a recovery of \$75.00 to each Class Member. Thus, the settlement provides for some recovery for each Class Member and eliminates the risk and expense of further litigation. Based on the circumstances of the case, including the strength of Plaintiff's case and the likelihood of obtaining recovery from Defendants, the Court finds the terms of the settlement to be fair and reasonable to the Class.

XXXVI. PROPOSED SETTLEMENT CLASS

The parties request certification of the following class for settlement purposes:

All persons with addresses in California to whom Defendants sent, or caused to be sent, an initial written communication in the form of Exhibit "1" [attached to Plaintiff's Class Action Complaint for Statutory Damages] in an attempt to collect a consumer debt originally owed to K.JORDAN, which were not returned as undeliverable by the U.S. Post Office during the period November 4, 2023, through the date of class certification.

E. Legal Standard for Certifying a Class for Settlement Purposes

Rule 3.769(d) of the California Rules of Court states that "[t]he court may make an order approving or denying certification of a provisional settlement class after [a] preliminary settlement hearing." California Code of Civil Procedure Section 382 authorizes certification of a class "when the question is one of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court"

Section 382 requires the plaintiff to demonstrate by a preponderance of the evidence:

(1) an ascertainable class and (2) a well-defined community of interest among the class members. (*Sav-On Drug Stores, Inc. v. Superior Court* (2004) 34 Cal.4th 319, 326, 332 (*Sav-On Drug Stores*).) "Other relevant considerations include the probability that each class member will come forward ultimately to prove his or her separate claim to a portion of the total recovery and whether the class approach would actually serve to deter and redress alleged wrongdoing." (*Linder v. Thrifty Oil Co.* (2000) 23 Cal.4th 429, 435.) The plaintiff has the burden of establishing that class treatment will yield "substantial benefits" to both "the litigants and to the court." (*Blue Chip Stamps v. Superior Court* (1976) 18 Cal.3d 381, 385.)

In the settlement context, “the court’s evaluation of the certification issues is somewhat different from its consideration of certification issues when the class action has not yet settled.” (*Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) As no trial is anticipated in the settlement-only context, the case management issues inherent in the ascertainable class determination need not be confronted, and the court’s review is more lenient in this respect. (*Id.* at pp. 93–94.) But considerations designed to protect absentees by blocking unwarranted or overbroad class definitions require heightened scrutiny in the settlement-only class context, since the court will lack the usual opportunity to adjust the class as proceedings unfold. (*Id.* at p. 94.)

F. Ascertainable Class

A class is ascertainable “when it is defined in terms of objective characteristics and common transactional facts that make the ultimate identification of class members possible when that identification becomes necessary.” (*Noel v. Thrifty Payless, Inc.* (2019) 7 Cal.5th 955, 980 (*Noel*)). A class definition satisfying these requirements

puts members of the class on notice that their rights may be adjudicated in the proceeding, so they must decide whether to intervene, opt out, or do nothing and live with the consequences. This kind of class definition also advances due process by supplying a concrete basis for determining who will and will not be bound by (or benefit from) any judgment.

(*Noel, supra*, 7 Cal.5th at p. 980, citation omitted.)

“As a rule, a representative plaintiff in a class action need not introduce evidence establishing how notice of the action will be communicated to individual class members in order to show an ascertainable class.” (*Noel, supra*, 7 Cal.5th at p. 984.) Still, it has long been held that “[c]lass members are ‘ascertainable’ where they may be readily identified ... by reference to official records.” (*Rose v. City of Hayward* (1981) 126 Cal. App. 3d 926, 932, disapproved of on another ground by *Noel, supra*, 7 Cal.5th 955; see also *Cohen v. DIRECTV, Inc.* (2009) 178 Cal.App.4th 966, 975-976 [“The defined class of all HD Package subscribers is precise, with objective characteristics and transactional parameters, and can be determined by DIRECTV’s own account records. No more is needed.”].)

Here, the estimated 105 Class members are readily identifiable based on Defendants’ records, and the settlement Class is appropriately defined based on objective characteristics. The Court finds that the settlement Class is numerous, ascertainable, and appropriately defined.

G. Community of Interest

The “community-of-interest” requirement encompasses three factors: (1) predominant questions of law or fact, (2) class representatives with claims or defenses typical of the class, and (3) class representatives who can adequately represent the class. (*Sav-On Drug Stores, supra*, 34 Cal.4th at pp. 326, 332.)

For the first community of interest factor, “[i]n order to determine whether common questions of fact predominate the trial court must examine the issues framed by the pleadings and the law applicable to the causes of action alleged.” (*Hicks v. Kaufman & Broad Home*

Corp. (2001) 89 Cal.App.4th 908, 916 (*Hicks*).) The court must also examine evidence of any conflict of interest among the proposed class members. (See *J.P. Morgan & Co., Inc. v. Superior Court* (2003) 113 Cal.App.4th 195, 215.) The ultimate question is whether the issues which may be jointly tried, when compared with those requiring separate adjudication, are so numerous or substantial that the maintenance of a class action would be good for the judicial process and to the litigants. (*Lockheed Martin Corp. v. Superior Court* (2003) 29 Cal.4th 1096, 1104–1105 (*Lockheed Martin*).) “As a general rule if the defendant’s liability can be determined by facts common to all members of the class, a class will be certified even if the members must individually prove their damages.” (*Hicks, supra*, 89 Cal.App.4th at p. 916.)

Here, common legal and factual issues predominate. Plaintiff’s claim arises from Defendants’ alleged debt collection practices.

As for the second factor,

The typicality requirement is meant to ensure that the class representative is able to adequately represent the class and focus on common issues. It is only when a defense unique to the class representative will be a major focus of the litigation, or when the class representative’s interests are antagonistic to or in conflict with the objectives of those she purports to represent that denial of class certification is appropriate. But even then, the court should determine if it would be feasible to divide the class into subclasses to eliminate the conflict and allow the class action to be maintained.

(*Medraza v. Honda of North Hollywood* (2008) 166 Cal. App. 4th 89, 99, internal citations, brackets, and quotation marks omitted.)

Like the other members of the proposed Class, Plaintiff was subjected to Defendants’ debt collection practices. The anticipated defenses are not unique to Plaintiff, and there is no indication that Plaintiff’s interests are otherwise in conflict with those of the proposed Class.

Finally, adequacy of representation “depends on whether the plaintiff’s attorney is qualified to conduct the proposed litigation and the plaintiff’s interests are not antagonistic to the interests of the class.” (*McGhee v. Bank of America* (1976) 60 Cal.App.3d 442, 450.) The class representative does not necessarily have to incur all of the damages suffered by each different class member in order to provide adequate representation to the class. (*Wershba, supra*, 91 Cal.App.4th at p. 238.) “Differences in individual class members’ proof of damages [are] not fatal to class certification. Only a conflict that goes to the very subject matter of the litigation will defeat a party’s claim of representative status.” (*Ibid.*, internal citations and quotation marks omitted.)

Plaintiff has the same interest in maintaining this action as any Class Member would have. Further, she has hired experienced counsel. Plaintiff has sufficiently demonstrated adequacy of representation.

H. Substantial Benefits of Class Certification

“[A] class action should not be certified unless substantial benefits accrue both to litigants and the courts. . . .” (*Basurco v. 21st Century Ins.* (2003) 108 Cal.App.4th 110, 120,

internal quotation marks omitted.) The question is whether a class action would be superior to individual lawsuits. (*Ibid.*) “Thus, even if questions of law or fact predominate, the lack of superiority provides an alternative ground to deny class certification.” (*Ibid.*) Generally, “a class action is proper where it provides small claimants with a method of obtaining redress and when numerous parties suffer injury of insufficient size to warrant individual action.” (*Id.* at pp. 120–121, internal quotation marks omitted.)

Here, there are an estimated 105 Class Members. It would be inefficient for the Court to hear and decide the same issues separately and repeatedly for each class member. Further, it would be cost prohibitive for each Class member to file suit individually, as each member would have the potential for little to no monetary recovery. It is clear that a class action provides substantial benefits to both the litigants and the Court in this case.

XXXVII. NOTICE

The content of a class notice is subject to court approval. (Cal. Rules of Court, rule 3.769(f).) “The notice must contain an explanation of the proposed settlement and procedures for class members to follow in filing written objections to it and in arranging to appear at the settlement hearing and state any objections to the proposed settlement.” (*Ibid.*) In determining the manner of the notice, the court must consider: “(1) The interests of the class; (2) The type of relief requested; (3) The stake of the individual class members; (4) The cost of notifying class members; (5) The resources of the parties; (6) The possible prejudice to class members who do not receive notice; and (7) The res judicata effect on class members.” (Cal. Rules of Court, rule 3.766(e).)

Here, the notice, which will be provided in English, informs the Class Members of the nature of the lawsuit and their rights under the terms of the Settlement and applicable law. It includes: a detailed explanation of the case, including the basic contentions or denials of the Parties and the basic terms of the Settlement; a statement that the court will exclude the member from the Class if they request so by a specified date; a procedure for the member to follow in requesting exclusions from the Class; an explanation that members of the Class can participate in the Settlement by doing nothing; a statement that the judgment, whether favorable or not, will bind all members who do not request exclusion; and a statement that any member who does not request exclusion may, if the member so desires, enter an appearance through counsel. Class Members are given 60 days to exclude themselves or object. The form of notice is adequate.

Regarding appearances at the final fairness hearing, the notice shall be modified to instruct class members as follows:

Although class members may appear in person, the judge overseeing this case encourages remote appearances. Class members who wish to appear remotely should contact class counsel at least three days before the hearing if possible. Remote appearances must be made through UDC, unless otherwise arranged with the Court. Please go to <https://santaclara.courts.ca.gov/online-services/remote-hearings> to find the appropriate link. Also, please note that that you must register in advance to appear remotely.

Turning to the notice procedure, the parties fail to identify the settlement administrator in the motion nor is one identified in Class Counsel's declarations. Nevertheless, the Class notice contains the information for CPT Group, Inc. ("CPT"). (Settlement, Exh. 1, p. 2.) The Settlement required Defendants to provide CPT with a complete list of Class Members within 14 days of the execution of the Settlement. Within 25 days of preliminary approval, CPT shall mail the Class notice to each Class member, after verifying the addresses. If any notice is returned with a new address, CPT shall resent the notice to the new address. These notice procedures are appropriate and are approved.

XXXVIII. SERVICE AWARDS, FEES, AND COSTS

Plaintiff requests a service award of \$2,000.

The rationale for making enhancement or incentive awards to named plaintiffs is that they should be compensated for the expense or risk they have incurred in conferring a benefit on other members of the class. An incentive award is appropriate if it is necessary to induce an individual to participate in the suit.

Criteria courts may consider in determining whether to make an incentive award include: 1) the risk to the class representative in commencing suit, both financial and otherwise; 2) the notoriety and personal difficulties encountered by the class representative; 3) the amount of time and effort spent by the class representative; 4) the duration of the litigation and; 5) the personal benefit (or lack thereof) enjoyed by the class representative as a result of the litigation.

These "incentive awards" to class representatives must not be disproportionate to the amount of time and energy expended in pursuit of the lawsuit.

(*Cellphone Termination Fee Cases* (2010) 186 Cal.App.4th 1380, 1394-1395, internal punctuation and citations omitted; see also *Covillo v. Specialty's Café* (N.D. Cal. 2014) 2014 U.S.Dist.LEXIS 29837, at *29 [incentive awards are particularly appropriate where a plaintiff undertakes a significant "reputational risk" in bringing an action against an employer].)

Prior to final approval hearing, Plaintiff shall submit a declaration detailing her efforts in this action.

The court also has an independent right and responsibility to review the requested attorney fees and only award so much as it determines reasonable. (See *Garabedian v. Los Angeles Cellular Telephone Co.* (2004) 118 Cal.App.4th 123, 127-128.) Class Counsel will seek attorneys' fees and costs in an amount not to exceed \$40,000. The lodestar method is a recognized method for calculating attorney fees in civil class actions. (*Wershba, supra*, 91 Cal.App.4th at p. 254 ["Court recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method."].) Prior to the final approval hearing, Class Counsel shall submit lodestar information (including hourly rate and hours worked) as well as evidence of actual litigation costs incurred.

XXXIX. CONCLUSION

The parties' joint motion for preliminary approval is GRANTED.

The final approval hearing shall take place on **February 18, 2027** at 1:30 in Department 22. The following Class is preliminarily certified for settlement purposes:

All persons with addresses in California to whom Defendants sent, or caused to be sent, an initial written communication in the form of Exhibit “1” [attached to Plaintiff’s Class Action Complaint for Statutory Damages] in an attempt to collect a consumer debt originally owed to K.JORDAN, which were not returned as undeliverable by the U.S. Post Office during the period November 4, 2023, through the date of class certification.

The Court will prepare the order.

- 00000 -

- 00000 -

- 00000 -

Calendar Line 12

Case Name: *Moncada v. AJ's Restaurant & Bar, et al.*

Case No.: 19CV346694

This is a putative class action seeking recovery of unpaid wages, among other things. Plaintiff Deidra Moncada alleges that defendants Paul Gill (“Gill”) and AJ’s Restaurant & Bar LLC (“AJ’s”) (collectively, “Defendants”) committed various wage and hour violations.

Before the Court is defendant Gill’s motion to dismiss, which is opposed. As discussed below, the Court GRANTS Defendant Gill’s motion to dismiss.

XL. BACKGROUND

According to the operative second amended complaint (“SAC”), from approximately 2003 to May 9, 2021, Andrea Russo (“Russo”) owned AJ’s as a sole proprietorship, which he managed and operated with his son, Defendant Gill. (SAC, ¶ 9.) On May 2013, Plaintiff had an interview with Defendant Gill and Russo for a position as a dancer at AJ’s. (SAC, ¶ 10.) Plaintiff was employed by Defendants from approximately May 1, 2013 and April 22, 2017. (SAC, ¶ 11.) Her primary duties were to dance on stage, communicate with patrons, and provide lap dances for patrons. (*Ibid.*)

When she was hired, Gill and Russo informed her of the attire she was expected to wear, how she was required to look, the amount she was required to pay them, the DJs, and the security. (SAC, ¶ 12.) During her employment, she spoke to Gill almost every day and he controlled the dancers’ wages, hours and working conditions, including Plaintiff’s. (*Ibid.*) On May, 1, 2013, Gill informed Plaintiff that she would receive a 1099. (SAC, ¶ 13.)

Plaintiff alleges Defendant misclassified her and other employees; failed to pay them an hourly rate; denied them rest and meal periods and failed to pay compensation in lieu thereof; failed to provide complete and accurate wage statements; and failed to provide paid sick leave. (SAC, ¶¶ 15-20.) On April 22, 2017, Plaintiff was terminated from employment and Defendants failed to provide Plaintiff with her final pay. (SAC, ¶ 25.)

On April 19, 2019, Plaintiff initiated this action with the filing of the complaint and on April 6, 2023, she filed her first amended complaint. On September 7, 2023, Plaintiff filed the operative SAC, which asserts the following causes of action: (1) failure to pay minimum wage ; (2) failure to pay minimum wage-San Jose Minimum Wage Municipal Code 4.100.040; (3) failure to provide rest and meal breaks; (4) failure to provide paid sick days (Labor Code § 246); (5) failure to furnish complete and accurate wage statements (Labor Code § 226); (6) failure to pay all wages due upon termination (Labor Code § 203); (7) failure to reimburse for necessary business expenses (Labor Code § 2802); (8) common law conversion; and (9) failure to pay gratuities (Labor Code § 351).

On April 23, 2024, the Court (Hon. Adams) issued its order, which sustained AJ’s demurrer to the SAC without leave to amend. On July 5, 2024, Plaintiff filed a notice of appeal. On June 23, 2025, the Court (Hon. Adams) issued its order, which stayed the matter pending the resolution of the appeal. On March 26, 2026, a remittitur was filed and on March

30, 2026, the Court (Hon. Adams) issued its order, which vacated the prior order and overruled the demurrer.

XLI. MOTION TO DISMISS

A. Legal Standard

Code of Civil Procedure section 583.310, provides, “[a]n action shall be brought to trial within five years after the action is commenced against the defendant.” (Code Civ. Proc., § 583.310.)

Dismissal of cases not brought to trial within this timeframe is mandatory. Code of Civil Procedure section 583.360, states:

(a) An action *shall be dismissed* by the court on its own motion or on motion of the defendant, after notice to the parties, if the action is not brought to trial within the time prescribed in this article.

(b) The requirements of this article are *mandatory* and are not subject to extension, excuse, or exception except as expressly provided by statute. (Code Civ. Proc., § 583.360, [emphasis added].)

“The purpose of the five-year rule is to ‘promote the trial of cases before evidence is lost, destroyed, or the memory of witnesses becomes dimmed . . . [and] to protect defendants from being subjected to the annoyance of an unmeritorious action remaining undecided for an indefinite period of time.’” (*Hill v. Bingham* (1986) 181 Cal.App.3d 1, 5 (*Hill*) [internal citations and quotations omitted].) Courts have recognized implied exceptions where going to trial was impossible. (*Ibid.*) “The purpose of the statute is . . . to prevent *avoidable* delay for too long a period. It is not designed arbitrarily to close the proceeding at all events in five years. . .” (*Ibid* [emphasis original].)

“What is impossible, impracticable or futile must be determined in light of all the circumstances in the individual case, including the acts and conduct of the parties and the nature of the proceedings themselves. *The critical factor in applying these exceptions to a given factual situation is whether the plaintiff exercised reasonable diligence in prosecuting his or her case.*” (*Hill, supra*, 181 Cal.App.3d at 6 [internal citations and quotations omitted; emphasis in original].)

B. Discussion

Plaintiff initiated this action on April 19, 2019 and on November 9, 2020, Defendants filed their answer. (Gill’s Memorandum of Points and Authorities (“MPA”), p. 4:13-17.) The instant action was deemed complex on December 8, 2020 and formal discovery was stayed. (MPA, p. 4:18-20.) The parties were ordered to meet and confer regarding case management issues, alternative dispute resolutions, and informed that they could engage in informal discovery. (MPA, p. 4:20-23.)

Between January 2021 and April 2021, the parties met and conferred regarding informal discovery, agreed on the language for a notice to putative class members, and the terms of a stipulated protective order. (MPA, p. 5:2-6.) On June 29, 2021, Defendants sent the

notice to putative class members. (MPA, p. 5:11-14.) On January 27, 2022, the Court lifted the stay on formal discovery. (MPA, p. 5:26.) Plaintiff served written discovery; however, she failed to file a motion to compel when there was no response. (MPA, pp. 5:27-6:2.) Plaintiff has not taken any depositions in this matter. (MPA, p. 6:2-3.)

On March 13, 2023, the Court granted Plaintiff's motion to file an amended complaint, but Plaintiff failed to timely file the amended complaint. (MPA, pp. 6:21-7:1.) On August 18, 2023, the Court (Hon. Kulkarni) sustained Defendants' demurrer to the FAC with 20 days leave to amend. (MPA, p. 7:5-14.) On September 7, 2023, Plaintiff filed the operative SAC. On April 23, 2024, the Court (Hon. Adams) sustained the demurrer. (MPA, p. 22-23.)

The parties disputed the deadlines regarding Plaintiff's motion for class certification. (MPA, p.p. 7:24-8:5.) At the May 23, 2024 case management conference ("CMC"), the Court set deadlines, which Plaintiff did not meet. (MPA, p. 8:6-16.) Gill did not waive the 5-year statute. (MPA, p. 8:9, 8:19.) On June 23, 2025, the Court entered its order, which stayed this matter pending resolution of the appeal.

Gill argues that the time to bring this action to trial expired by October 19, 2024. (MPA, p. 9:18-20.) He further argues there was no tolling of time to bring the matter to trial.

Code of Civil Procedure section 583.340, provides,

In computing the time within which an action must be brought to trial pursuant to this article, there shall be excluded the time during which any of the following conditions existed:

- (a) the jurisdiction of the court to try the action was suspended.
- (b) prosecution or trial of the action was stayed or enjoined.
- (c) bringing the action to trial, for any other reason, was impossible, impracticable, or futile.

(Code Civ. Proc., § 583.340.)

Plaintiff argues the statutes require exclusion of periods of time when bringing the action was impossible, impracticable, or futile. (Plaintiff's Opposition ("Opp."), p. 8:1-3.) She argues that the Court managed complex case restrictions made advancement to trial impracticable during a substantial period. (Opp., p. 9:3-5.) Plaintiff first directs the Court to its December 8, 2020 order (the "Order"), which deemed the case complex and stayed formal discovery and the responsive pleading deadline until a date for the first case management conference ("CMC") for such filings and hearings was set. (Order, pp. 2-3.) At the January 14, 2021 CMC, the parties were ordered to meet and confer about informal discovery and alternative dispute resolutions. (See January 14, 2021 Minute Order.) On January 27, 2022, the Court (Hon. Kulkarni) lifted the discovery stay. (See January 27, 2022 Minute Order.)

Court procedures and calendar control are not considered circumstances amounting to impracticability. In *Hill*, the court affirmed the trial court's dismissal under the five-year statute where the court set a trial date beyond five years, since plaintiff there did not alert the court to the approaching deadline and plaintiff could have corrected the timing issue by requesting that the trial be held within the last remaining two months of the five-year period. (*Hill, supra*, 181 Cal.App.3d at 9-10.) *Hill* states:

“[Reasonable] diligence places on a plaintiff the affirmative duty to make every reasonable effort to bring a case to trial within five years, even during the last months of its statutory life. One means by which this duty may be fulfilled is a motion to specially set the case for trial pursuant to rule 375(b) of the California Rules of Court. . . . If the plaintiff could have acted to bring the case to trial on time and failed to do so, relief will not be given even if the plaintiff claims to have relied on the performance of an official duty. [Where] the delay in going to trial was caused by [plaintiff’s] own miscalculation rather than circumstances beyond [one’s] control” the exceptions do not apply.

(*Ibid.*)

In *Warner Bros. Entertainment Inc. v. Superior Court* (2018) 29 Cal.App.5th 243 (*Warner Bros*), the appellate court explained that an initial 43 day order “staying responsive pleadings and outstanding discovery requests, while also requiring the parties to ‘negotiate and agree . . . on a case management plan’ and to prepare and file a joint statement specifically addressing case-related issues in multiple areas (and also allowing the parties to informally exchange documents), does not ‘effect a complete stay of the prosecution of the action’ within the meaning of” *Gaines v. Fidelity National Title Ins. Co.* (2016) 62 Cal.4th 1081, 1087 (*Gaines*) and *Bruns v. E-Commerce Exchange, Inc.* (2011) 51 Cal.4th 717, 730 (*Bruns*)...” (*Id.* at p. 245.) Thus, it held that the trial court erred when concluded the five-year period was tolled for 43 days because of such a stay, issued at the outset of the case. (*Ibid.*)

Plaintiff argues that *Warner Bros* does not compel dismissal because here, the discovery stay lasted for a longer period and Plaintiff attempted to move the case forward during the stay, there were formal discovery efforts later, and the time period related to the appeal. (Opp., p. 11:2-6.) During the discovery stay, the parties were repeatedly ordered to meet and confer, which they did and they engaged in informal discovery. (Declaration of Rebecca Coll (“Coll Decl.”), ¶¶ 5-9; see also Declaration of Jocelyn Burton (“Burton Decl.”), ¶¶ 19-45.) Defense counsel Coll states that Plaintiff never indicated that informal discovery was inadequate nor did she request the stay of formal discovery be lifted until 2022. (Coll Decl., ¶ 10.) Plaintiff’s assertion regarding formal discovery is belied by the fact that it appears the only formal discovery request propounded by Plaintiff was in May 2022 and defense counsel did not realize the request was sent until years later. (Coll Decl., ¶ 12.) Moreover, Plaintiff did not meet and confer about Gill’s failure to provide responses nor was a motion to compel ever filed. (*Ibid.*) Therefore, Plaintiff fails to establish reasonable diligence. As a result, the Court is not persuaded by Plaintiff’s argument that the initial stay period should be excluded.

Next Plaintiff argues that the appeal concerning AJ’s made trial against Gill impracticable because it would impact the class definition, liabilities theories, discovery, allocation of responsibility, and determine which Defendants should participate in class certification and trial. (Opp., p. 11:16-22.) She further asserts that proceeding against Gill alone, while the appeal involved AJ’s was pending, risked duplicative discovery, inconsistent rulings, repeated class notice, fragmented adjudication, and a second trial after reversal. (Opp., p. 11:23-26.)

Here, Plaintiff initiated this action on April 19, 2019 against Gill (and other defendants). At the time of filing, the 5-year deadline was on April 19, 2024. California Rule of Court, Emergency Rule 10, was enacted in response to COVID-19. Emergency Rule 10,

provides, “Notwithstanding any other law, including Code of Civil Procedure section 583.310, for all civil actions filed on or before April 6, 2020, the time in which to bring the action to trial is extended by six months for a total time of five years and six months.” (Cal. Rules of Ct., Appx., Emergency Rule 10; see also *Oswald v. Landmark Builders, Inc.* (2023) 97 Cal.App.5th 240, 246.) Thus, in applying Emergency Rule 10, the deadline extends to October 19, 2024. For reasons explained above, Plaintiff failed to establish reasonable diligence to justify excluding the initial discovery stay period. Thus, the Court declines to exercise its discretion to find that the initial discovery stay falls within Section 583.340, subdivision (c). The only remaining time period for exclusion pertains to the appeal.

On April 23, 2024, the Court (Hon. Adams) issued its order, which sustained Defendant AJ’s demurrer without leave to amend. On May 23, 2024, the Court ordered Plaintiff to file the class certification motion and set the hearing date for September 26, 2024. On July 5, 2024, Plaintiff filed a notice of appeal, however, the Court (Hon. Adams) did not issue its order, which granted Plaintiff’s motion to stay pending appeal until June 23, 2025.

The long-standing judicial understanding of the term ‘stay’ in the context of the five-year statute is that it refers to those postponements that freeze a proceeding for an indefinite period, until the occurrence of an event that is usually extrinsic to the litigation and beyond the plaintiff’s control.” (*Gaines v. Fidelity National Title Ins. Co.* (2016) 62 Cal.4th 1081, 1092 (*Gaines*).)

Here, Plaintiff’s notice of appeal was filed on July 5, 2024, however, her motion to stay was not filed until April 28, 2025—over 9 months later. The Court agrees that the matter was tolled from June 23, 2025 (when the order issued its order granting the motion to stay) until March 26, 2026 (when the Sixth District Court of Appeal issued its remittitur reversing the judgment on the demurrer). However, the Court is not persuaded by Plaintiff’s argument that the entire period from the notice of appeal should be excluded because there was not a complete stay in the matter. (See Code Civ. Proc., § 583.340, subd. (b).)

Similarly, the Court is not persuaded that the pre-discretionary stay period should be excluded on the grounds that it made trial against Gill impracticable or futile because Plaintiff’s decisions regarding litigation strategy do not constitute impracticability since those decisions were *within* Plaintiff’s control. (See *Gaines, supra*, 62 Cal.4th at p. 1011-1102 [tolling under section 583.340, subd. (c), requires “a period of impossibility, impracticability, or futility, *over which plaintiff had no control*” and a showing of reasonable diligence.] [emphasis added].) Additionally, there is no evidence before the Court of any activity by Plaintiff, formal or informal, during that time period to demonstrate diligence in prosecuting this action against Defendant Gill.

The Court also notes that the remittitur was issued on March 26, 2026 and the Court’s (Hon. Adams) order which vacated the previous order and overruled AJ’s demurrer was issued on March 30, 2026. However, Plaintiff did not file her class certification motion nor does she provide any evidence of any discovery efforts or efforts to take Gill’s deposition, despite her assertions that the delay in efforts to move this case forward as to Gill were due to concerns regarding efficiency and practicality. Therefore, Plaintiff fails to establish reasonable diligence in prosecuting her action against Defendant Gill. (See *Hill, supra*, 181 Cal.App.3d at p. 6.)

As explained above, Plaintiff fails to demonstrate reasonable diligence to exclude the initial stay period and the pre-discretionary stay period—thus, it appears the five-year period

Commented [GU1]: is this court

expired on October 19, 2024, at the latest. Thus, dismissal of this action is mandatory. (See Code Civ. Proc., § 583.360.)

Based on the foregoing, Defendant Gill's motion to dismiss is GRANTED.

XLII. CONCLUSION

Defendant Gill's motion to dismiss is GRANTED and the case against Defendant Gill is dismissed with prejudice pursuant to Code of Civil Procedure section 583.310.

- 00000 -

- 00000 -

Calendar Line 13

Case Name:

Case No.:

- 00000 -